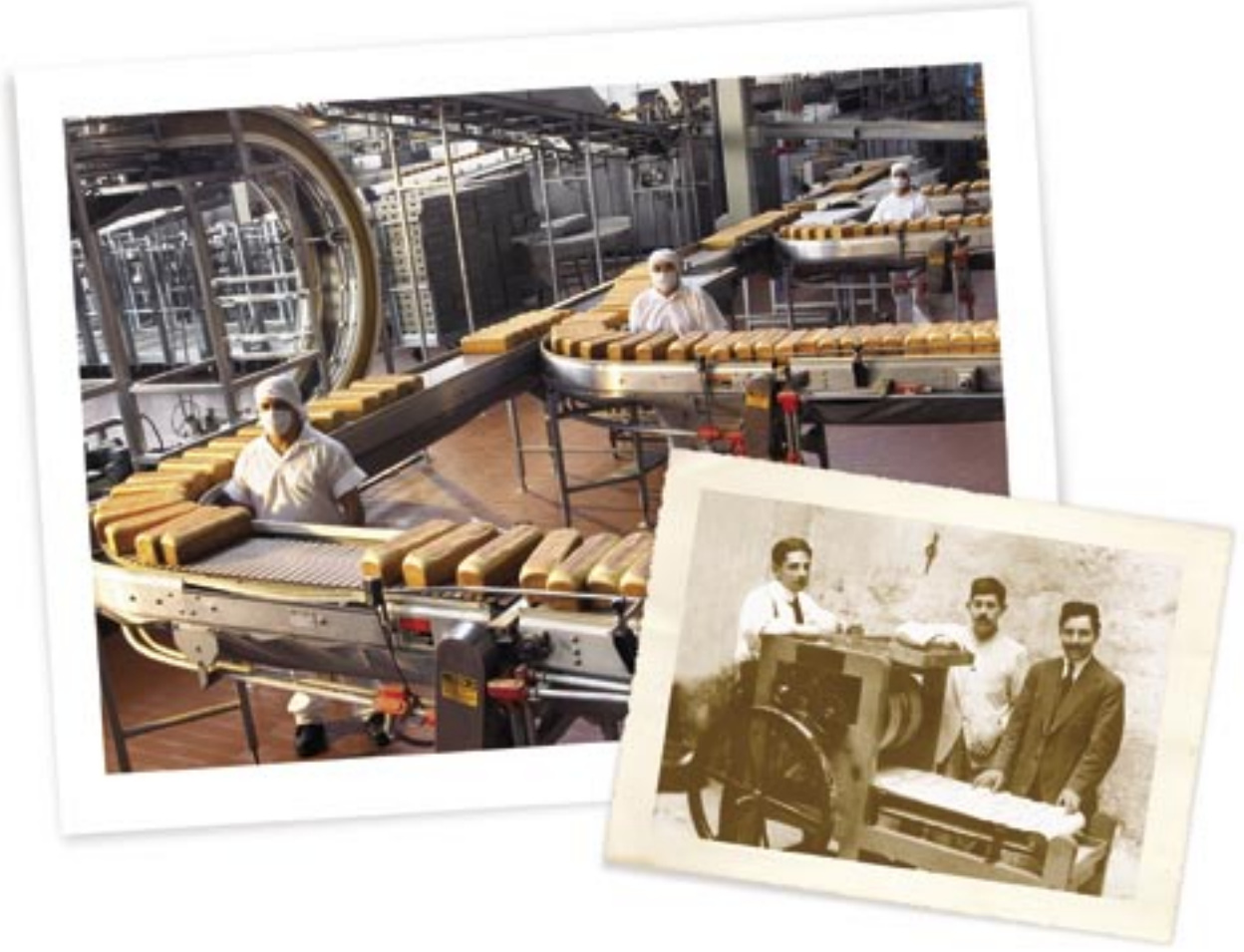
GRUPO BIMBO

60 years

still growing healthier and stronger



ANNUAL REPORT 2005

Organizations

Bimbo, S.A. de C.V.

Is headquartered in Mexico City and produces packaged bread, pastries, rolls, pound cakes and cupcakes, snack cakes, cookies, packaged tortillas, toasted tortillas, and whole-grain cereal bars.

Its main brands are Bimbo, Marinela, Tia Rosa, Wonder, Milpa Real, Lara, Suandy, Lonchibon, Del Hogar, Monarca, Breddy, Tulipan and El Globo.

Barcel, S.A. de C.V.

Is headquartered in Lerma, State of Mexico. It produces salted snacks, candies, chocolates, goat milk caramel (cajeta) and gummy candies.

Among its main brands are Barcel, Ricolino, Coronado, La Corona, Juicee Gumme and Park Lane.

Bimbo Bakeries USA, Inc.

Operates from Fort Worth, Texas, in the United States. It produces bread and pastries, rolls, bagels, English muffins, pound cakes, snack cakes, cookies, tortillas and prepared pizza dough.

Its leading brands are Oroweat, Mrs Baird's, Bimbo, Entenmann's, Thomas', Tia Rosa, Marinela, Francisco, Old Country, Boboli and Webers.

Organización Latinoamérica

Headquartered in Buenos Aires, Argentina, makes packaged bread and pastries, rolls, pound cakes, cookies, snack cakes, sandwich cookies, tortillas and prepared pizza dough.

Among its most popular brands are Bimbo, Marinela, Pullman, Plus Vita, Ideal, Holsum, Trigoro, Pyc, Bontrigo, Cena and Fuchs.







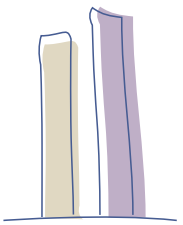


Mexico

69%
percentage of consolidated sales



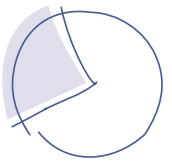
+8.4%



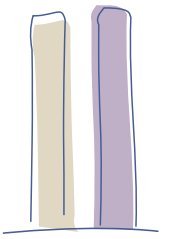
36,800 39,902
Net Sales
Millions of pesos

United States

24%
percentage of consolidated sales



+2.8%



13,173 13,546
Net Sales
Millions of pesos

All brands are registered trademarks of Grupo Bimbo, S.A. de C.V. Entenmann's, Thomas', and Boboli under license from George Weston, Ltd.

The Leading Baking Company in the Americas

Grupo Bimbo has completed its 60th year of growth and success. Today, it is the second largest baking company in the world, and a leader in the Americas.

It has 72 plants in 15 countries, where it produces bread, pastries, rolls, cookies, cakes, packaged products, tortillas, goat milk caramel (cajeta), salted snacks, chocolates and candy, among other products.

The company makes nearly 5,000 products and has 100 well-known brands, along with one of the most extensive distribution networks in the world: more than 30,000 routes and 30,000 vehicles that service more than 988,600 points of sale. It has more than 81,000 associates.



Grupo Bimbo is present in 15 countries

Mexico (cities)

Atitalaquia
Mexico City
Chihuahua
Cholula
Gómez Palacio
Guadalajara
Hermosillo
Irapuato
León
Matehuala
Mazatlán
Mérida
Mexicali
Monterrey
Puebla
San Luis Potosí
San Nicolás de los Garza
Tijuana
Toluca
Veracruz
Villahermosa
Zapopan

Europe (country)

Czech Republic

United States (cities)

Abilene
Beaverton
Denver
Elk Grove
Escondido
Fort Worth
Grand Prairie
Houston
Lubbock
Montebello
San Antonio
San Francisco
Waco

Latin America (countries)

Argentina
Brazil
Chile
Colombia
Costa Rica
El Salvador
Guatemala
Honduras
Nicaragua
Peru
Uruguay
Venezuela

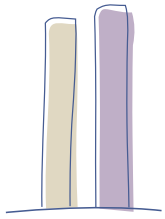
Latin America

+6.5%

7%

percentage of consolidated sales





2004 2005

3,741 3,982

Net Sales
Millions of pesos

Turning 60

Panificación Bimbo, the forerunner to Grupo Bimbo, began operations on December 2, 1945, in Mexico City. The 34 associates at the small factory located in the Santa María Insurgentes neighborhood had a clear vision: "To make truly good, nutritional, flavorful and fresh bread ... to make it well, with greater cleanliness, greater perfection, and the intention of feeding, pleasing, and reaching all of Mexico's households."

BIMBO Sixty years later, that goal remains in place, but its prospects and its present dimensions have changed. Grupo Bimbo today has more than 81,000 associates, and its four original products—Super Pan Grande, Super Pan Chico, Pan Tostado and Pan Negro—have grown to more than 5,000 products, in numerous food categories. The fleet of ten distribution trucks has multiplied to more than 30,000 vehicles.



In six decades of constant growth, Grupo Bimbo surpassed limits and borders. Grupo Bimbo has created one of the most extensive food distribution networks in the world, reaching more than 988,600 points of sales in 15 countries, from northern United States to Patagonia. Every day, the distance traveled by its trucks is equivalent to 46 trips around the globe, carrying fresh, high-quality products to its consumers.



The Bimbo name, it is said, came from a combination of "Bingo", the game of chance, and the famous Disney movie Bambi. Afterwards, it was discovered that the colloquial word for child in Italian (bambino) is bimbo. In Hungarian the word means "bud", and in China it refers to a bread very similar to Bimbo. The little bear that is our logo is very similar to one on a postcard received by one of the company's founders, with some features changed and the addition of a cap, apron, and loaf of bread under his arm.



In 1952 the Bimbo factory underwent substantial expansion. In the same year, we began producing Osito donuts, and Bimbo hamburger buns, hot dog buns and dinner rolls were introduced.

In 1957 we started up cake production, which was the origin of the well-known Marinela brand and the famous Gansito, which was later to become Mexico's most popular snack cake.



By 1965, completing its first 20 years of life, Bimbo was firmly entrenched in the dietary habits of Mexican families: people ate Bimbo toasted bread, donuts, or pound cake for breakfast, and they carried sandwiches made of white bread, brown bread, or toasted bread to work and school. Children were often rewarded with treats like Gansitos, Bombonetes and Negritos.

To face the competition from Wonder, Bimbo bought the rights to the Sunbeam brand in Mexico, and a great battle arose in the

market between Wonder cakes and Marinela Submarinos. Years later, Bimbo bought this competitor.

In the 1970s, the Tia Rosa brand was born, and the company began to diversify toward the snack and candy market, with the purchase of Barcel. Later, Dulces y Chocolates Ricolino joined the company.

By the 1980s, Bimbo was growing faster than the rest of the world baking industry and had begun to expand internationally. In 1986, it ventured into the milling business, and exited this segment in 1999. In 1989, Bimbo Centroamérica was established in Guatemala, the first plant outside of Mexico. Two years later it created Organización Latinoamérica (OLA), which today operates in 12 countries south of the Mexican border. In 1998 it completed the acquisition of the U.S. baking company Mrs Baird's, and in 2002, in the largest acquisition in its history, it purchased the western U.S. operations of the Canadian firm George Weston Ltd. This marked the creation of Bimbo Bakeries USA (BBU).

Our acquisition strategy has always brought great success to the company. In this century, companies like Joyco, La Corona and El Globo have come to strengthen Grupo Bimbo's presence in various markets.





Essentially, Bimbo is still the same company it was in the past: a highly productive and people oriented organization, with a spirit that breathes in all of its plants and offices.

Thanks to the effort, steadiness and commitment of all its people, today Bimbo is the largest food company in Mexico and the second largest baking firm in the world.



After 60 years of growth, Grupo Bimbo is an increasingly healthy, strong company, with a bright future ahead of it.

Financial and Operating Highlights

Net Sales
2005



Mexico 69%
United States 24%
Latin America 7%

EBITDA
2005



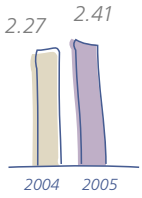
Mexico 90%
United States 7%
Latin America 3%

Total Assets
2005



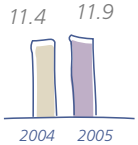
Mexico 64%
United States 27%
Latin America 9%

EPS
+6.2%



pesos

ROIC (%)



	2005	2004	% Change
Net Sales	56,102	52,573	6.7%
Mexico	39,902	36,800	8.4%
United States	13,546	13,173	2.8%
Latin America	3,982	3,741	6.5%
Operating Income	5,202	4,275	21.7%
Mexico	5,030	4,632	8.6%
United States	75	(288)	NA
Latin America	52	(100)	NA
EBITDA	7,191	5,962	20.6%
Mexico	6,420	5,756	11.5%
United States	507	57	> 100
Latin America	219	118	85.6%
Net Majority Income	2,829	2,663	6.2%
Total Assets	37,030	34,670	6.8%
Total Liabilities	17,176	16,999	1.0%
Shareholders' Equity	19,854	17,671	12.4%
Net Debt / EBITDA	0.59	0.82	
Net Debt / Shareholders' Equity	0.21	0.28	
Return On Assets	7.6%	7.7%	
Return On Equity	14.6%	15.4%	
Return On Invested Capital (ROIC)	11.9%	11.4%	
Eearning Per Share (EPS)	2.41	2.27	6.2%
Shares Outstanding ('000s)	1,175,800	1,175,800	-
Closing Share Price at Year-end	37.04	28.16	31.5%

The figures in this section are expressed in millions of constant Mexican pesos with purchasing power as of December 31, 2005, unless otherwise indicated. They were prepared in accordance with Generally Accepted Accounting Principles in Mexico (Mexican GAAP). Therefore, all percentage changes are expressed in real terms. Inter-regional transactions have been eliminated from calculation of the consolidated figures.

Message from the Chairman of the Board

Roberto Servitje

Last year, looking back on our performance in 2004, I said it had been a highly satisfactory year, but that there was much still to do.

This year, I am pleased to inform you that the results of the fiscal year just ended have been even better, and these results make us aware of the need to continue growing and to set higher goals. Our consolidated sales totaled 56.10 billion pesos, a 6.7% increase over the previous year.

The increase was structured as follows:

Mexico	$ 39,902	8.4%
Bimbo Bakeries, USA.	$ 13,546	2.8%
Organización Latinoamérica	$ 3,982	6.5%

Operating income totaled 5.20 billion pesos, an increase of 21.7% over the previous year, and all of our organizations gained ground during the year. It is very important to point out that for first time in our history our international operations have each reported positive figures.

It is significant that our good results last year came from companies that had in the past operated in the red, or at break-even point, but which are now contributing positively, posting profits or substantially reducing losses. These results are even more relevant considering the difficult times facing the U.S. industry and economic problems affecting Latin America.

During the past year, Bimbo made the following acquisitions:

Lalo, a bread-maker in Colombia.
La Corona, a candy and chocolate manufacturer in Mexico.



Roberto Servitje and Daniel Servitje

Pastelerías El Globo, a Mexican pastry manufacturing chain.
Lagos del Sur, a Chilean pastry manufacturer.

We also signed an agreement with the Argentine multinational firm Arcor to make and distribute candy products in Mexico.

Seeking out economies of scale and synergies in Los Angeles, California, we closed the small bread plant at La Mirada, transferring production to the Montebello and Escondido plants in the same state. For strategic reasons, we closed a plant in Costa Rica and the Ricolino plant in Naucalpan, Mexico that we bought from Joyco.

The Coronado goat milk caramel plant was incorporated into the Ricolino plant in San Luis Potosí. Today, we have 72 plants in operation, and three sales organizations. Alongside this growth, our associates have increased to more than 81,000.

I am highly pleased to comment that, in parallel to its economic results, the Group continues its efforts to be a people oriented company. Through reports by our human relations area, international meetings I have attended, and visits to various countries, I have observed that the spirit we want to maintain—that of a company with a soul—is thriving.

In this same spirit, we went through the process of renewing collective bargaining contracts with our associates in a brief period of time, and with satisfactory results for all.

Although no comments on this subject are necessary, the Group continued its moral commitment to providing support for social service institutions, with an emphasis on education and rural areas, including, of course, our Reforestamos México environmental program, created by this Group, which is bearing abundant fruit.

One event that was the source of particular pride and joy for this group was our 60th Anniversary, an occasion marked by two events attended by several of our founders, retired associates and others who are close to this company's heart.

As always, I am grateful for the support and confidence our associates have given us.



Roberto Servitje
Chairman of the Board of Directors

Message from the Chief Executive Officer

Daniel Servitje

This past year, Grupo Bimbo achieved record levels of sales and profits, thanks to better planning, consistency between the goals and achievements of all our associates; intensive efforts in the area of innovation, and a propitious economic climate in Mexico and the countries where we operate.

As we anticipated in last year's report, our international management team achieved their much-desired aim of bringing the operations of Bimbo Bakeries USA. Inc. (BBU) and Organización Latinoamérica (OLA) into profitability.

An increasingly important growth strategy for the Group has been the acquisition of brands and companies that enable us to enter new market segments and build on our leadership in others. In 2005, Grupo Bimbo bought two Mexican companies, each with a long tradition in this country: El Globo and La Corona. With El Globo, we entered a new business, the direct-to-consumer sale of pastries. With La Corona, we became the leading chocolate maker in Mexico.

We also acquired Lagos del Sur in Chile, and Lalo in Colombia. Although these were smaller investments, they bolstered our position in specific Latin American markets.

Another initiative in 2005 was the creation of the Shared Services Center. Over a two-year period, this facility will centralize all the Group's administrative operations, generating considerable cost savings and giving us greater control and efficiency in our operations.

Our investments in IT and the structural changes of past years are bearing fruit. Today, we are more competitive and our decision-making process is more streamlined. More investments are planned for the next two years, particularly in our commercial system, Sicom, in order to maximize the potential of our installed technology, expand our visibility into the business, and improve sales processes and customer service.

For 2006, we expect another year of growth in a stable economic climate, although there is a certain degree of uncertainty in terms of change of government in Mexico and elsewhere in Latin America, and due to an anticipated rise in some commodity costs.

Our work agenda brings us increasingly closer to our "Vision 2010" objective of being the global leader in the baking industry, and one of the best food companies in the world.

In 2005, Grupo Bimbo celebrated its first 60 years of existence, with clear progress in our business and a clear view of the future. We know where we are headed, and we hold firm to our vision. This is the vision that inspires and guides the work and decisions of the entire Bimbo team.

We have become increasingly stronger and healthier on the road of growth and profitability, a company committed to its community, investors, associates , customers and consumers. To all of these stakeholders, I express the Group's profound appreciation for their confidence and support throughout the years. Together, we have succeeded in creating a great, solid, and sustainable company.



Daniel Servitje
Chief Executive Officer

A Spirit of Innovation

Innovation is our driving force. With increasingly short product cycles and new consumption trends, we always try to stay a step ahead.



Master bakers in 1945, in front of Bimbo's first oven.

An advertisement from the 1940s, appealing to the flavor and freshness of Bimbo bread.

Recent research into human health indicates that our health depends greatly on what we eat, and consumers today are particularly concerned about their diet and physical well-being, turning increasingly towards healthier lifestyles.

Our product portfolio has largely shifted towards products that offer greater innovation and specific health benefits, combined with nutritional features. One of the most active categories in this segment, and one in which we lead the industry, is the whole-grain cereal bar. Here, Grupo Bimbo offers a wide range of options. In 2005, we launched the Double-Fiber Prune Bar and Silueta Strawberry Yogurt Bar, and we are preparing to launch products in 2006 that are specially formulated for children and for segments of the market with very specific needs.

In accordance with the recommendations of the new food pyramid recently developed in the United States, we created whole grain breads and products that allow the consumer to take full advantage of the properties of grains.

Acting in advance of health regulations in many countries, we eliminated trans-fatty acids from most of our products, and pioneered the use of new and healthy ingredients such as flaxseed, soy and omega oils. In addition, responding to new recommendations of the World Health Organization, we created a wide range of products that are low in fat, salt and sugar.



In the beginning, Bimbo made four kinds of bread: Super Pan Bimbo, large and small, brown and toasted.

Although our portfolio shows a pronounced trend towards healthier products, we were careful not to neglect other categories of satisfying, convenient and indulgent goods, available in various sizes and packages. What these have in common is that they are all tasty and were specially designed to suit the tastes of our consumers.

Last year, we began to participate more actively in the National Council for Science and Technology (Conacyt) centers and universities throughout the Americas and Europe, taking part in new agreements and high-level applied research projects. These allow us to apply rigorous scientific research in how we innovate and improve our products, to the benefit of our consumers.

We are confident that innovation is what drives a company, and that is why we intend to remain pioneers in the search for new product categories, offering value propositions that respond to the true needs of our consumers.



Today, we make 32 million products in all our plants.



Tia Rosa plant in Lerma, State of Mexico. Mario Ordóñez, Master Baker for the Multi-grain snack bar line.



Bran Frut snack bar production line.

Acting in advance of health regulations in many countries, we eliminated trans-fatty acids from most of our products, and pioneered the use of new and healthy ingredients such as flaxseed, soy and omega oils.

Unwavering Dynamism

One of our greatest challenges is to simultaneously attain rapid growth, reduce production and distribution costs and be more competitive.

One of our greatest strengths, which has underscored the expansion of our operations, is our capacity to distribute short-life food products. We do this so well that, in Mexico, our consumers have confidence that Bimbo is everywhere, from the supermarket to the most remote mountain village, and our products are always fresh and tasty.

In 2005, our distribution vehicles reached more than 988,600 points of sale in 15 countries, and we continually opened new routes and expanded existing ones.

We continued the process of strengthening our internal structures to be more market-oriented and efficient. We made further efforts to segment channels on the small store level, through greater differentiation of the products we sell in each channel. We launched almost 200 new products.



Every day, our trucks travel a distance equivalent to 46 times around the earth.



The great Bimbo Family in 1952, and Gansera, a scooter used in the late 1950s.

The most successful launches of 2005 included: Double-Fiber Prune Bar, Silueta Strawberry Yogurt Bar, Marble Pound Cake, Retro Donuts, Negrito Special Edition, Multi-grain Flaxseed Bread, Light Bimbo Bread, Crunchy Bread Crumbs, Oroweat Bread, Barcel Toreadas, Golden Nuts Roasted Peanuts, Spreadable Coronado goat milk caramel (cajeta), Lunetas, Guava Snack Bars, Bisnaguinha Light, Panetone in Peru, Maxi Fudge, Maxi Manjar and Dulci Max Cakes in Chile.

We continued our segmentation of retail channels and mom & pop stores, and conducted pre-sale testing to develop new forms of distribution to optimize the use of our assets.

With the implementation of new systems, innovation and modernization processes, we can now adapt our production, marketing and distribution structure with greater ease and flexibility.



Associates of Bimbo Bakeries USA.

The acquisition of the El Globo chain reinforced our growth strategy and brought us closer to the consumer. This company's operations have some interesting synergies with Fripan, our frozen dough products company.

As for La Corona, this acquisition makes us Mexico's largest producer of chocolate, and strengthens Ricolino's position as the second leading candy brand in the country.

Our immediate goals at the Group level are to reduce our costs per unit produced and distributed, speed organic growth with further innovation in processes and products, and to bolster our identity as an extraordinary place to work, based on the commitment of our more than 81,000 associates. This is one advantage that is difficult to replicate, and it is the reason for our unwavering dynamism. We are all working towards the goal of giving consumers more quality and value, in return for the confidence they have placed in our brands.



CHOCOLATES La Corona

New acquisitions: El Globo, fine pastries, and La Corona, chocolate manufacturer.



Bimbo is everywhere. Sales representative José Luis Picazo, Bimbo Naucalpan branch.

In 2005, we opened 1,270 new routes. Our distribution network now reaches more than 988,600 points of sale in the 15 countries where we operate.

Health and Strength

In 2005, all of Grupo Bimbo's divisions surpassed expectations, with sales growth of 6.7%. These results attest that the plan to overhaul operations and modernize the company's systems is working.



1957 Brochure entitled *Bienvenido a Bimbo (Welcome to Bimbo)*, and one of the first Bimbo bread display stands.

Among the components of our transformation are: efficient debt management, which, as measured in net debt, registered less than 60% of EBITDA; better budgets and forecasting, very efficient cash flow generation and better risk management.

Also, our new sales model, along with a leading position in many distribution channels, advanced segmentation of those channels and a rationalization of our routes, modern information technology and an outsourcing of routes in the United States and at Organización Latinoamérica (OLA), place us in a position of considerable efficiency and competitiveness, more than ever before in the history of the Group.



Particularly outstanding was the turnaround in our international operations. At Bimbo Bakeries, USA. Inc. (BBU), which comprises 24% of the Group's total sales, revenues were up 2.8% in peso terms, while Organización Latinoamérica (OLA), with 7% of total sales, grew 6.5% in peso terms.

These two divisions represent considerable growth opportunities, particularly in the Latin American countries, where markets such as Brazil offer great potential.

Particularly notable was Barcel's double-digit sales growth over 2004, which strengthened our market share.

The Group's health and strength is evident not just financially. Our portfolio of products is increasingly oriented towards the segment with highest growth in recent years: healthy products. This demonstrates that the Group's interest is not only on high financial returns, but also on responding promptly to consumers' needs and wishes with value propositions. This is the path we are taking.

Laura Elizondo, Miss Mexico 2004 is the image of the Bimbo light line of products.



Another example of our consolidation and strength is the creation of our Shared Services Center in Mexico City, which in a two-year period will concentrate all the Group's administrative processes on an international level, increasing efficiency and lowering costs.

By year-end 2005, we had attained greater control and visibility of our financial and administrative operations. We are an organization in a significant expansion phase, growing healthier and stronger with each passing year.

Our financial position and product portfolio show an increasingly healthy, solid company.



More than 5,000 products, with the brands that consumers trust.



Associates at the Shared Services Center, Javier García and Fabián Ilhuicatzi.



Shared Services Center, Azcapotzalco, Mexico.



Wide variety of products in the Lara line.

Consistency and Vision

We are consistent in our work: we do as we say, and we say what we do. We also provide an extensive amount of internal information to our various stakeholder groups.



Our founders. Left to right: Roberto Servitje, Jaime Jorba, Lorenzo Servitje, Jaime Sendra and José T. Mata.

Advertisement from the 1970s.

In this fiscal year, we took a great step towards "Vision 2010", the institutional program that maps out our strategic course for the years ahead, the basic goal of which is to make us a world leader in the baking industry.

Being a leader means setting the pace and direction for the overall industry, as a company with reliable brands for its consumers. It means gaining an in-depth understanding through market research into the motivations for consumption, and it demands that we distinguish ourselves from what our competitors are offering, through innovation.

Our goal is to sell flavorful, innovative, healthy and accessible products, available anywhere and any time; to remain at the forefront of industry trends, and to meet health profiles and requirements. This year, for example, we renovated our entire pastry line with tremendous success, and entered the instant soup segment. Our goal is to offer consumers good choices for every meal of the day—breakfast, lunch and dinner.

We want to be our customers' favorite vendor, by offering a varied portfolio of products with attractive margins, high profitability and comprehensive business solutions.

Much of our work is focused on building up the company's strength for its shareholders and for society at large, to make our financial position as healthy and as profitable as we can, through ethical and socially responsible decisions, with long term vision.



In 2005, we revamped the image of the Tia Rosa line in Mexico.



A team of solid people: sales force of Bimbo, Barcel, Marinela and Ricolino.

Last but not least, we want to continue making Grupo Bimbo a great place to work, a company with a soul, that offers its associates the tools they need to do their jobs well and make good decisions, to be a hard-working and results-oriented team, passionate about success, and proud of belonging to this company.



We were the first Latin American company to earn ISO 9002 certification and HACCP food safety standard for high quality in roll-baking processes.

We grew closer to meeting the goals of "Vision 2010", the main goal of which is to become a global leader in the baking industry, and one of the best food companies in the world.



We are firmly convinced that Grupo Bimbo is an extraordinary place to work.

Summary of Activities

Operating and technological change, visibility into the future of this business, and solid planning have helped build up our operations in Mexico and have brought our USA and Latin American operations above the break even point. In 2005, we sent the markets a message of consistency between our plans and our achievements. With consolidated sales of nearly $5.24 billion dollars last year, we surpassed our own projections.



Bimbo marketing team, participating in the "Make a Sandwich" campaign.

Once again, our operations were driven by the launch of new products and the reformulation of others. An increasingly accurate understanding of the needs of our markets and consumer trends, combined with an innovative strategy throughout our portfolio and advances on the distribution front, place us in a solid competitive position, with preferred brands that customers recognize and cherish.

2006 poses tremendous challenges, along with some obstacles. Prices are rising on the global grain markets as well as for other commodities such as energy, and elections and changes of government in various countries of Latin America will take place in the near future.

Nevertheless, we will continue our plan to grow with profitability, strengthening our production, marketing and distribution structures, and above all, devoting ourselves to building and expanding our international operations.

Bimbo, S.A. de C.V.

During the year, we continued our channel segmentation efforts. We developed 1,270 new routes and are now more flexible, precise and efficient.

In order to reduce costs, we found new distribution methods to reach smaller clients which had not been profitable to date. We also introduced new distribution practices: agreements with convenience stores for nighttime supply, which lowers our costs.

We continued innovating processes for the launch and re-launch of products, with great success. Such is the case of our Double Fiber Prune Bars and Silueta Strawberry Yogurt Bars. Our pastry line was one of the most successful, with the launch of new products such as Marbled Pound Cake and Mantechox, and the Multigrano Linaza packaged bread line.



A winning team, with a sense of pride and belonging.

In pastries, our leading product, Gansito, grew at a double-digit rate over the previous year. In the cookie category, we increased our market share, led by our top performers, Barritas, Principe and Sponch.

Throughout the year, we expanded the Triki Trakes line, launching chocolate Triki Trakes and multi-color Triki Trakes, and relaunched the Lors cookie line with considerable success.

In 2005 we introduced our premium Oroweat brand to the supermarket channel. This brand is a sales leader in the USA and has gained broad acceptance in that market.

One of the biggest challenges for 2006 will be to lower the cost per unit produced and distributed, to reach lower-income segments with more products and a more balanced portfolio, and to turn our distribution units into integrated service centers for our customers, which in addition to products, can offer financial support and professional training to help their businesses grow.

Among the big marketing projects for the year ahead is the "Make a Sandwich" campaign, an unprecedented effort to promote the consumption of bread in all its presentations, which will represent the largest communications effort in Bimbo's history.



Barcel Marketing Team.



Ricolino participates in children's activities.

Barcel, S.A. de C.V.

Thanks to innovations, plant modernization and improved distribution, Barcel gained market share in all the categories in which it participates. It was particularly successful in improving its share of the snack category, while coming in a solid second in the candy segment. The re-launch of the Golden Nuts peanut brand was also a success last year, placing it at the top of that segment.

One of the highlights of the year was the acquisition of La Corona, which created production synergies with the Ricolino candy brand.

Among the new product launches of the year were Chips a la Diabla, Toreadas (a new brand and category), and Takis al Pastor.

At Ricolino, more than 15 products were launched, the most successful being Lunetas, Duvaleta, Spreadable Coronado goat milk caramel (cajeta), and Coronado Marinas.

In 2006, Barcel will begin operations in alliance with Arcor, a leading candy maker in South America.

Bimbo Bakeries USA, Inc. (BBU)

Beginning in the second quarter of 2005, BBU reported operating profits, sooner than expected and a turnaround from its recent history of unsatisfactory results.

One of the factors that turned the situation around was solid leadership, which succeeded in executing a growth-oriented program in a relatively short time, improving service levels as well as profitability, and aligning human, production and systems structures with the goal of achieving positive results.

The progress was no coincidence. It was the result of changes in BBU's operating structure and communications processes, and the centralization and control of operations from one central location, Ft. Worth, Texas.



Muffins for sale in the USA.

Also influential in the results was the active introduction of Mexican products for the Hispanic market—with double-digit growth for our Hispanic brands—and the expansion of routes. Among the most successful launches and re-launches of the year were Vanilla and Pecan Muffins, homemade Pound cake, Lunch Pack, Conchas, Guava fruit bars, Pastisetas, Pineapple Pie, Principe cookies and two seasonal products: Day of the Dead cake and Peruvian Panettone.

Our most active brands were Oroweat and Mrs. Baird's with new product lines such as Country 100% Whole Wheat and Whole Grain Nut, Harvest Selects and Hearty Grains.

This progress has created a sense of greater confidence in the future. The goal for 2006 is to continue improving with the measures adopted in the past, to introduce new infrastructure to modernize the Commercial System with new equipment and programs, and to improve control of our products.

Organización Latinoamérica (OLA)

OLA generated an operating profit for the first time in its history, and saw the greatest increase in volume in the past seven years.

The best results were produced by Chile, Peru and Venezuela, where the company has a clear leadership position. Colombia, meanwhile, was undergoing management changes during the year, and is above the break-even point. Brazil and Argentina are still in the red, but are reporting better results. Brazil is clearly the area of greatest growth opportunity for the years ahead, and has a market potential similar to Mexico's.



The Pullman line in Brazil: A market similar to Mexico.

With regard to our products, whole wheat breads were particularly successful in Colombia, as were light products in Brazil, Chile and Argentina, and the launch of Bisnaguinha Light, a very popular low-calorie, low-fat product. Other innovations included Panettone in Peru, Maxi Fudge, Maxi Manjar and the Dulci Max snack cake in Chile.

For 2006, we expect double-digit growth in the region, with substantial improvements in operating efficiency, the supply chain, and in the reduction of distribution costs.

There is no doubt that Latin America is the region with the best prospects for expansion in coming years, because its markets are not as thoroughly developed as in Mexico and the United States.

Our People, our Community



In 2005, Grupo Bimbo ranked first in the study of Leading Mexican Companies, conducted by the magazine Gestión de Negocios to identify the most admired companies in Mexico.



www.grupobimbo.com/nutricion

Health Education

In 2002, we first published Nutrinotas, an informational bulletin that promotes healthy diet and physical exercise among the public with the publication of 200,000 copies and an online version with 59,000 subscribers, among them prestigious leaders of the medical community and nutrition professionals. ▶



Education and Jobs

We provide economic support to various educational institutions, including Crisol, a primary school for disadvantaged children, along with Mexico City's famous Papalote Children's Museum and Papalote Móvil, which traveled through various cities in northern Mexico in 2005. ▶



We were pleased to find that this country's executive community, among which the study was conducted, is aware of one of our main objectives: that our more than 81,000 associates consider us a great place to work, a company concerned about the growth and advancement of its people, and their health and personal and family well-being, through internal training programs, support for education, and health and wellness programs.

In this past year, a book called Learning to Live Healthy was published and distributed among our staff. It promotes better quality of life and healthier eating habits.

We have expressed this same concern to the community. In the year 2005, for the fifth consecutive year, the Mexican Center for Philanthropy recognized us with their Socially Responsible Company award.

Our social programs are focused on the promotion of healthy lifestyles, the protection and preservation of the environment, and fighting poverty through programs oriented toward rural areas, reforestation, education and sports.

In addition, our nutrition website is reaching an increasing number of households. In 2005, we created a successful nutrition search section, which offers personalized orientation on this topic. We also developed printed educational material for children and young people in primary school and high school levels, which offers practical information on balancing their diets.

We also founded Futbolito Bimbo, an international children's soccer tournament that involves participants from six countries, including Mexico and all of Central America.

Finally, we held the "Heart Alliance" program in Mexico in conjunction with Pfizer pharmaceutical labs, for the prevention and early diagnosis of cardiovascular disease, diabetes and hypertension, through medical diagnostic units located in shopping centers. Through this free service, 250,000 dietary plans were distributed to adults who attended the center.



This past year, we also supported 8,500 personal projects promoted by the Pro Zona Mazahua and Pro Empleo Productivo foundations, which finance lower-income entrepreneurs so they can start their own businesses. For the second year in a row, we organized the Social Responsibility Fair at the corporate offices of Grupo Bimbo in Mexico City, attended by various non-profit organizations interested in publicizing their services. We also gave a financial contribution to the Fundación Tarahumara, which operates in one of the most economically depressed regions of Mexico.

Internationally, through Bimbo Bakeries USA, Inc. (BBU), we supported organizations such as the American Red Cross, Institute of the Americas, Junior Diabetes Research Foundation, Muscular Dystrophy Association, the United Way and Western Association of Food Chains, among others.



Environment and Reforestation

In this area, we focused our support on the Revive Chapultepec project, which is restoring Mexico City's vast historical park.

Deforestation is a serious problem, and Mexico's jungles and rainforests are among the fastest shrinking in the world. This is why the work of Reforestamos México, A.C. is so important. The strategy of this non-profit organization, which started up operations in 2002, is to establish alliances with public, private and civic organizations to support communities in preserving and restoring their forest resources, to the benefit of both human beings and their environment.

In 2005, Reforestamos México completed the reforestation of 2,200 hectares in the Izta-Popo National Park; planted 40,000 trees in the Monarch Butterfly Biosphere Reserve; began adopting land for other reforestation projects in Villa del Carbón, State of Mexico, to benefit the community of San Jerónimo Zacapexco; implemented pasturing systems for the integration of trees into eroded livestock fields in Huatusco, Veracruz, which will protect the last vestiges of that state's rain forest; distributed 150,000 trees through the Adopt-A-Tree program at the Group's plants throughout Mexico; and began the first seed-growing competition with the participation of more than 2,000 children, who planted trees to restore the Bosque de Tlalpan with seeds collected in the Acorn Contest that the association supports on the slopes of the Ajusco mountain in southern Mexico City.



Reforestation activities in the Izta-Popo National Park.



REFORESTAMOS MÉXICO, A.C.

Natural Disaster Assistance

Through the Leon XIII Foundation, we gave funding and supplies to support those who lost their homes in hurricanes Stan in Chiapas and Wilma in the Yucatan peninsula. In Chiapas, we conducted an internal fundraising campaign. We also gave assistance to people left homeless by the Asian Tsunami of 2004, and by hurricanes Rita and Katrina in the United States.

Rural Areas

Since 1963, Grupo Bimbo has supported the Mexican Foundation for Rural Development, providing technological resources and training to promote better farming practices.

Corporate Governance

Bolstering the Confidence of our Investors

Throughout its development, Grupo Bimbo has worked on the basis of ethical business principles. Grupo Bimbo follows the Code of Best Corporate Practices, an initiative of the Mexican Stock Exchange (BMV) which establishes the bases of corporate governance for companies operating in Mexico, particularly those listed on the Stock Exchange, and provides firm support for investor confidence.

At Grupo Bimbo, these principles for sound business management are applied through our Board of Directors, one of whose duties is to help management define policies and strategies and to recommend ways to make the company more efficient, for the benefit of its shareholders. It also participates in decisions on the effective allocation of the Group's resources, particularly on the purchase or sale of productive assets.

Structure of the Board of Directors

The Board of Directors of Grupo Bimbo is comprised of 16 directors and 16 alternate directors, appointed at the Ordinary General Shareholders' meeting on April 8, 2005.

To perform its duties, the Board relies on the support of three governance committees.

Audit Committee

Its main job is to issue opinions on transactions with related parties, under the terms of Article 14 bis 3 of the Securities Market Act; coordinate the work of the internal auditor or auditors, the external examiner and the statutory auditor or auditors of Grupo Bimbo. It also issues opinions on any material changes in the accounting policies, criteria and practices applied in the preparation of the financial statements of Grupo Bimbo.

Evaluation and Compensation Committee

This committee is in charge of analyzing and deciding any change in the way top executives are compensated, as well as general compensation policies for the associates of Grupo Bimbo and its subsidiaries, while respecting the authority of the Board of Directors.

Finance and Planning Committee

This committee is responsible for analyzing and evaluating long-term strategies and investment and financing policies for Grupo Bimbo, and for submitting these to the Board of Directors for its consideration. It also works to identify risks and evaluate risk management policies.

Code of Ethics

In addition to these policies and committees, Grupo Bimbo has self-regulatory rules that govern our business practices, like our own code of ethics that covers general aspects and policies for interacting with the various groups around us.

With our associates, to guarantee respect for their dignity and individuality and to ensure a workplace environment that promotes their well-being and development.

With our shareholders, to provide them with a reasonable profit on a sustained basis.

With our suppliers, to maintain cordial relations and encourage their development.

With our customers, to provide exemplary service and to support them in their growth and development through the value of our brands.

With our competitors, to compete vigorously and fairly, on the basis of fair business practices.

With consumers, to guarantee healthy foods and a wide variety of products, by continually innovating and improving them.

With society at large, to promote universal ethical values and support the economic and social growth of the communities where we operate.

Conflicts of Interest

Internally, in order to avoid conflicts between the personal interests of our associates and those of the company, and to establish a solution to such conflicts if necessary, all our associates are responsible for declaring any financial or non-financial interest they may have that might enter into conflict with their duties at Grupo Bimbo.

In the case of our executives and directors, we have a clearly defined policy on conflict of interest, which includes the annual completion of a special form for this purpose. Any violation of this policy is considered grounds for termination.

Management Committee

Daniel Servitje
Chief Executive Officer, Grupo Bimbo
Joined the Group in 1982. Obtained a Bachelor's Degree in Business Administration and an MBA from Stanford University. Member of the Board of Directors of Coca-Cola FEMSA, Grupo Financiero Banamex, ITAM's Business School, and Grocery Manufacturers of America in the United States. 47 years old.

Pablo Elizondo
President, Bimbo, S. A. de C.V.
Started working with Grupo Bimbo since 1977. Studied Chemical Engineering. Vice Chairman of the Board of Conmexico. 52 years old.

Reynaldo Reyna
President, Bimbo Bakeries USA, Inc. (BBU)
Working with Grupo Bimbo since 2001. Studied Industrial and Systems Engineering and obtained a Masters' Degree in Operations Research and Finance from Wharton University. 50 years old.

Javier Augusto González
President, Barcel, S. A. de C.V.
Joined Grupo Bimbo in 1977. Earned a degree in Chemical Engineering and an MBA from Universidad Diego Portales in Chile. 50 years old.

Alberto Díaz
President, Organización Latinoamérica (OLA)
Joined Grupo Bimbo in 1999. Studied Industrial Engineering and obtained a Master's Degree in Management from the University of Miami. 51 years old.

Rosalío Rodríguez
Corporate President
Joined Grupo Bimbo in 1976. Studied Biochemical Engineering. Member of the Board of International Life Science Institute, Quality Bakers of America, the American Institute of Baking, and the Board of Beta San Miguel. 53 years old

Guillermo Quiroz
Chief Financial Officer
With Grupo Bimbo since 1999. Obtained a degree in Actuarial Studies and an MBA from IPADE. Member of the Board of Grupo Altex and Fincomun. 52 years old.

Javier Millán
Corporate Director of Human Relations
Joined Grupo Bimbo in 1977. Studied Philosophy and Business Administration. Board Member of the Asociación Mexicana en Dirección de Recursos Humanos. 57 years old.

Board of Directors

Directors

Roberto Servitje	PR
Henry Davis	I
José Antonio Fernández	R
Ricardo Guajardo	I
Agustín Irurita	I
Jaime Jorba	PR
Mauricio Jorba	PR
Francisco Laresgoiti	PR
Fernando Lerdo de Tejada	R
José Ignacio Mariscal	PR
Víctor Milke	PR
Raúl Obregón	PR
Roberto Quiroz	PR
Alexis E. Rovzar	I
Lorenzo Sendra	PR
Daniel Servitje	PR

Alternate Directors

Jaime Chico
Paul Davis
Javier Fernández
Anthony McCarthy
José Manuel Irurita
Jaime Jorba
Luis Jorba
María del Pilar Mariscal
Francisco Laresgoiti
Raúl Obregón
Víctor Milke
Nicolás Mariscal
Rosa María Mata
Vicente Corta
Víctor Gavito
Pablo Elizondo

PR	Patrimonial Related
R	Related
I	Independent

Chairman
Roberto Servitje

Alternate Chairman
Daniel Servitje

Secretary
Luis Miguel Briola

Alternate Secretary
Pedro Pablo Barragán

Statutory Examiner
Juan Mauricio Gras

Alternate Statutory Examiner
Walter Fraschetto

Governance Committees

Audit Committee

Henry Davis	Chairman
Agustín Irurita	
Victor Milke	
Roberto Quiroz	
Alexis E. Rovzar	

Evaluation and Compensation Committee

Raúl Obregón	Chairman
Henry Davis	
José Antonio Fernández	
Daniel Servitje	
Roberto Servitje	

Finance and Planning Committee

José Ignacio Mariscal	Chairman
Ricardo Guajardo	
Mauricio Jorba	
Raúl Obregón	
Lorenzo Sendra	
Daniel Servitje	

Board of Directors' Profiles

Roberto Servitje
- Chairman of the Board of Directors of Grupo Bimbo
- Board member of the following companies:
  Fomento Económico Mexicano (FEMSA)
  DaimlerChrysler de México
  Grupo Altex
  Escuela Bancaria y Comercial
  Memorial Hermann International Advisory Board (Houston, Texas)

Henry Davis
- Chairman, Promotora DAC, S.A.
- Chairman of the Board of:
  Probelco, S.A.
  Desarrollo Banderas, S.A. de C.V.
- Board member of:
  Grupo Financiero IXE, S.A. de C.V.

José Antonio Fernández
- Chairman of the Board and Chief Executive Officer of Grupo FEMSA
- Chairman of the Board of Coca-Cola FEMSA, S.A. de C.V.
- Joint Chairman of the Board of the Woodrow Wilson Center Mexico Institute
- Vice Chairman of the Board of the Instituto Tecnológico y de Estudios Superiores de Monterrey
- Board member of the following companies:
  Grupo Financiero BBVA Bancomer
  Industrias Peñoles
  Grupo Industrial Saltillo

Ricardo Guajardo
- Board member of the following companies:
  Instituto Tecnológico y de Estudios Superiores de Monterrey
  Fomento Económico Mexicano (FEMSA) and Coca-Cola FEMSA, S.A. de C.V.
  Grupo Financiero BBVA Bancomer
  Grupo Industrial ALFA
  El Puerto de Liverpool
  Grupo Aeroportuario del Sureste (ASUR)
  The International Capital Markets Advisory Committee of the Federal Reserve Bank of New York
  Grupo CYDSA

Agustín Irurita
- Chairman of the Board of Grupo ADO, S.A. de C.V.
- Board member of the following organizations:
  - Mexican Chamber of Passenger and Tourism Transportation Services (Lifetime member)
  - Grupo Comercial Chedraui, S.A. de C.V.
  - Northwestern University Transportation Center
  - Employers' Confederation of Mexico (Coparmex)

Jaime Jorba
- Chairman of the Board of:
  Frialsa, S.A. de C.V.
  Promotora de Condominios Residenciales

Mauricio Jorba
- Chief Executive Officer, European Operations
- Member of the Board of Directors of VIDAX

Francisco Laresgoiti
- Chief Executive Officer, Grupo Laresgoiti
- Member of the Board of Directors of Fundación Mexicana para el Desarrollo Rural, A.C.

Fernando Lerdo de Tejada
- Chairman of the Board of Estrategia Total
- Member of the Executive Committee of the Mexican Agricultural Council

José Ignacio Mariscal
- Chief Executive Officer, Grupo Marhnos
- Chairman of the Mexican Institute for the Christian Social Doctrine
- Board member of USEM, Mexico
- Vice Chairman of:
  Uniapac Internacional
  Fincomún- Servicios Financieros Comunitarios
  Fundación Juan Diego
- Board member of the following organizations:
  Sociedad de Inversión de Capital de Posadas de México
  Grupo Calidra
  USEM Confederation, Executive Committee
  Asociación Mexicana de Promoción y Cultura Social
  Coparmex Executive Committee

Víctor Milke
- Chief Executive Officer of Corporación Premium, S.C.
- Board member for the following organizations:
  Nacional Financiera, Mexico City
  Congelación y Almacenaje, S.A.
  Frialsa, S.A. de C.V.

Raúl Obregón
- Managing Partner of Alianzas, Estrategia y Gobierno Corporativo S.C.
- Board member of:
  Industrias Peñoles, S.A. de C.V.
  Grupo Palacio de Hierro, S.A. de C.V.
  Envases y Laminados S.A. de C.V.
  Arrendadora Valmex, S.A. de C.V.
  Aseguradora Porvenir GNP, S.A. de C.V.
  Crédito Afianzador, S.A.
  GNP Pensiones, S.A. de C.V.
  Grupo Nacional Provincial, S.A.
  Médica Integral GNP, S.A. de C.V.
  Valores Mexicanos Casa de Bolsa

Roberto Quiroz
- Chairman of the Board and Chief Executive Officer of Grupo Industrial Trébol
  Chairman of the Board of Esmaltes y Colorantes Cover
- Member of the Board of Directors of Tepeyac, A.C.

Alexis E. Rovzar
- Managing Partner, Despacho Internacional de Abogados White & Case, LLP.
- Vice Chairman for the Indiana University Center on Philanthropy, USA.
- Board member of the following companies:
  Coca Cola FEMSA, S.A. de C.V.
  FEMSA
  Grupo ACIR
  Grupo COMEX
  Ray & Berndtson de México
  The Bank of Nova Scotia

Lorenzo Sendra
- Chairman of the Board of Directors of Proarce, S.A. de C.V.
- Board member of the following organizations:
  Ronald McDonald Foundation
  Fomento de Nutrición y Salud
  Fundación Mexicana para el Desarrollo Rural, A.C.
  Financiera Promotora para el Desarrollo Rural (FIMEDER)

Daniel Servitje
- Chief Executive Officer, Grupo Bimbo
- Board member of the following organizations:
  Coca-Cola FEMSA S.A de C.V.
  Grupo Financiero Banamex, S.A. de C.V.
  Banco Nacional de México, S.A.
  Grocery Manufacturers of America (USA)
  Advisory Board of the ITAM Business School

Advisory Board

BBU

Ambassador Jeffrey Davidow
President, Institute of the Americas
(Former U.S. Ambassador to Mexico)
La Jolla, CA

Henry Davis
Chief Executive Officer, Promotora DAC, S.A. de C.V.
Mexico City

Bernard Kastory
Professor, New York University
(Former Executive Vice President of Bestfoods)
Saratoga Springs, NY

José Ignacio Mariscal
Chief Executive Officer, Marhnos, S.A. de C.V.
Mexico City

Robert C. Nakasone
Chief Executive Officer, NAK Enterprises, L.L.C.
(Former Executive Vice President of Jewel, and CEO of Toys R Us, Inc.)
Santa Barbara, CA

Betsy Sanders
Chief Executive Officer, The Sanders Partnership
Sutter Creek, CA

Roberto Servitje
Chairman of the Board, Grupo Bimbo

Daniel Servitje
Chief Executive Officer - Grupo Bimbo

Reynaldo Reyna
Chief Executive Officer - Bimbo Bakeries USA, Inc.

Rosalío Rodríguez
Corporate Director - Grupo Bimbo

Guillermo Quiroz
Chief Financial Officer - Grupo Bimbo

OLA

João Alves de Queiroz
Chairman of the Board of Monte Cristalina, S.A.
São Paulo, Brazil

Carlos Mario Giraldo
Chairman of the Board of Compañía de Galletas Noel, S.A.
Marketing and Executive Vice Chairman of Inversiones Nacional de Chocolates S.A.
Medellín, Colombia

Víctor Milke
Chief Executive Officer of Corporación Premium, S.C.
Mexico City

Luis Pagani
Chairman of the Board of Grupo Arcor
Buenos Aires, Argentina

Leslie Pierce
General Manager of Alicorp, S.A.
Lima, Peru

Lorenzo Sendra
Chairman of the Board of Proarce, S.A. de C.V.
Mexico City

Eduardo Tarajano
Private Investor
Key Biscayne, Florida

Roberto Servitje
Chairman of the Board - Grupo Bimbo

Daniel Servitje
Chief Executive Officer - Grupo Bimbo

Alberto Díaz
Chief Executive Officer – Latin America Division (OLA)

Rosalío Rodríguez
Corporate Director - Grupo Bimbo

Guillermo Quiroz
Chief Financial Officer - Grupo Bimbo

Letter from the Chairman of the Audit Committee

March 10, 2006

To the Board of Directors of Grupo Bimbo, S.A. de C.V.:

In accordance with Article 14 of the Mexican Securities Market Act, and on behalf of the Audit Committee, I hereby report on the activities conducted by this committee with regard to the fiscal year ended December 31, 2005. In conducting this work, we have followed the Internal Regulations of this Committee and incorporated the recommendations established in the Code of Best Corporate Practices. The Company's Statutory Examiner was invited to all of our meetings, under the terms of that law, and was present at all meetings held.

In performing our basic responsibilities with regard to the effectiveness of internal control guidelines and the accuracy and reliability of the financial information prepared by company management to be used by the Board of Directors, shareholders, and other parties, we conducted the following significant activities:

1. With the support of internal auditors, we reviewed the general guidelines for internal control, and followed up on the implementation of the suggestions made.

2. We evaluated the independence of the internal auditors and approved their work program and budget for fiscal year 2005.

3. We analyzed the regular reports of the internal auditors, regarding the advance of the work program that was approved and any variations that may have arisen, as well as the observations and suggestions offered, and their prompt implementation. We discussed material or recurring matters in internal audits with the Director of Auditing and/or the directors responsible, and followed up on the proposed solutions.

4. We recommended the appointment of external examiners of the company and its subsidiaries for the purpose of obtaining an external opinion on the reasonableness of the company's financial statements for the year 2005. In making this recommendation, we investigated their independence and analyzed together with them their focus and work program, as well as the necessary coordination with the Internal Auditing area. In addition, we approved the fees charged to Management for the additional services it received from the external examiners.

5. We were promptly informed of the conclusions of the external examiners and recommended that the Board of Directors approve the annual financial statements, for the purpose of which we were in constant communication with the external examiners in order to follow the progress of their work and to hear any observations they may have had for concluding their audit.

6. We evaluated the report of the external examiners, issued on the matter of social security contributions.

7. We evaluated the existing controls established by the company, to ensure compliance with the various legal provisions to which it is subject.

8. We informed ourselves of the status of legal procedures, lawsuits, and contingencies of all types, both by and against the company.

9. We evaluated the structure of powers of attorney granted within the Group, as well as the procedures followed for their control and implementation.

10. We reviewed the implementation and application of the Code of Ethics.

11. The Committee demonstrated that the intermediate financial information prepared by Management for presentation to shareholders and the general public was in keeping with the same policies, criteria and practices as used in preparing the annual information. Accordingly, we recommended that the Board of Directors approve their publication.

12. We evaluated transactions between the company, its shareholders and persons with equity or family relationships to it.

13. We analyzed the report on environmental compliance.

14. We received and discussed the report on donations made by the company during the fiscal year.

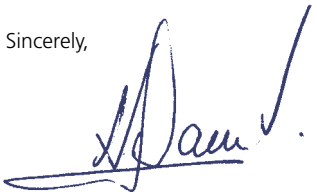
15. We investigated the status of the Retirement and Pension Fund, the instruments in which it is invested, and the manner in which it is funded.

16. We evaluated the report on current fixed assets and their possible use or allocation.

17. We analyzed and studied trends in corporate governance and of audit committees in various world-class companies.

All the work we conducted has been duly documented in the minutes of each meeting, which were reviewed and approved at the time by the members of this Committee.

Sincerely,



Henry Davis
Chairman of the Audit Committee

Management's Discussion and Analysis of Results

for the year ended December 31, 2005

All figures herein are expressed in millions of constant Mexican pesos of December 31, 2005, unless stated otherwise, and have been prepared according to Generally Accepted Accounting Principles in Mexico; all percentage changes are expressed in real items.

Overview

In 2005, Grupo Bimbo reported the highest sales and profits in its history.

Net sales grew 6.7% in the year, driven by strong volume gain in each of the regions where the Company operates.

For the first time, operations in both the United States and Latin America posted a positive operating profit in 2005, contributing to a 21.7% increase in consolidated operating income, and a 120 basis point increase in the operating margin.

The Company's net majority income rose 6.2% as a result of higher gross profit, lower operating expenses, lower financing costs and a reduction of other expenses.

In addition, Grupo Bimbo posted a return on invested capital (ROIC) of 12%, among the highest in the industry.

Key Trends in the Year

The Company's financial and operating performance benefited from a number of factors in 2005:

- The launch of a significant number of new products, lines and categories, particularly in the light and whole-grain segments.

- Stronger brand positioning as a result of branding and advertising efforts in highly competitive markets and segments, resulting in market share gains in key categories such as breads and sweet baked goods in the United States, and cookies, cereal bars and confectionary goods in Mexico.

- Lower raw materials costs as a result of lower commodity prices, strengthening of the Mexican peso against the U.S. dollar, and the Company's flour procurement strategy. These factors helped to offset rising energy and packaging prices.

- The opening of more than 1,900 new distribution routes.

- Ongoing execution of the turnaround plan in the United States and Latin America, focusing on optimizing the sales mix and product portfolio, expanding and segmenting the distribution network, improving manufacturing processes to generate greater efficiencies, and implementing ERP software applications and other technology upgrades, among others.

• The launch of the Shared Services Center (SSC), a centralized administrative unit that eliminates redundant processes among business units. By year-end 2005, all units in Mexico and some U.S. administrative processes had been incorporated into the SSC. Additional benefits will be derived as all units and the planned accounting processes across the Company are integrated.

• Successful integration of four acquisitions: El Globo and La Corona in Mexico; Lalo in Colombia; and Lagos del Sur in Chile.

Net Sales

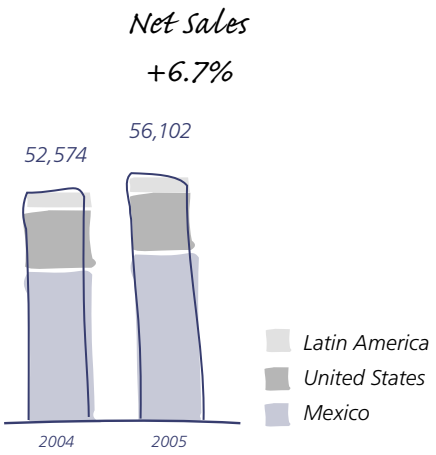
Total 2005 net sales of Ps. 56,102 increased 6.7% over 2004, driven by favorable results and strength across all the Company's operating regions.

Sales in Mexico of Ps. 39,902 rose 8.4% year over year, which compares favorably to the 3.0% growth in GDP, and 4.4% rise retail sales as reported by INEGI (Instituto Nacional de Estadistica, Geografia e Informatica). Increases in the Company's net sales reflected growth in sales volume performances, led by newly-launched products and strong demand in almost all categories.

In addition, the results of El Globo and Chocolates La Corona were fully integrated as of August and September respectively. These acquisitions contributed 1.4 percentage points to the increase in sales for the year.

In the United States, net sales increased 2.8% to Ps. 13,546. The 6.8% growth in dollar terms was even more remarkable given the rationalization of the product portfolio and streamlining of the client base. Higher sales in 2005 reflected better sales volume in both branded and private label goods, the impact of price increases implemented in the first half of the year, strong growth in products with Mexican brands, and successful promotions.

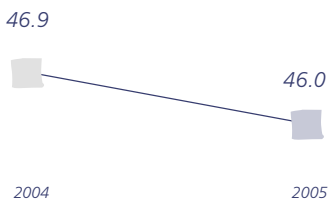
In Latin America, 2005 net sales grew 6.5% to Ps. 3,982. Growth reflected the implementation of new marketing initiatives, particularly in support of new products launches, the opening of new distribution routes, and the subsequent integration of new clients. On a country basis, performance in Brazil, Chile and Peru was particularly strong.



Cost of Goods Sold

The cost of goods sold totaled Ps. 25,798 and represented 46.0% of net sales, a decrease of 90 basis points from 2004, reflecting lower average raw material prices, particularly in wheat flour and sugar; the appreciation of the Mexican peso against the U.S. dollar; greater absorption of fixed costs as a result of growth in sales; better sales mix in internationally; and lower labor costs in the United States due to a reduction of Workers' Compensation. These factors more than offset higher energy and packaging costs.

Cost of Goods Sold
% of net sales



Operating Income

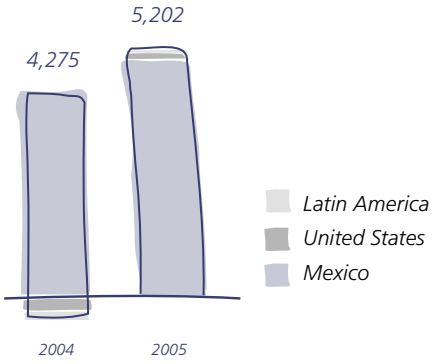
On a consolidated basis, operating income grew 21.7% in 2005 to Ps. 5,202, corresponding to a 9.3% operating margin, an increase of 120 basis points over 2004. These gains reflected higher net sales, lower cost of goods sold and lower operating expenses. It is important to highlight that for the first time in the Company's history, the United States and Latin American operations registered operating income in the year of Ps.75 and Ps. 52, respectively.

Operating Expenses

Operating expenses of Ps. 25,102 accounted for 44.7% of net sales in the year, a decrease of 20 basis points from 2004. This reduction reflects three key drivers: ongoing efficiency enhancements in the distribution network across all regions; the absorption of fixed expenses; and lower labor costs in the United States.

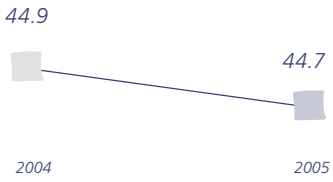
These factors mentioned above offset higher fuel costs and a significant increase in the number of distribution routes in all operations, the US$2.9 million impairment charge of the Entenmann's brand in the United States, and the US$5.0 million write-off of certain assets in that market.

Operating Income
+21.7%



millions of pesos

Operating Expenses
% of net sales



Comprehensive Cost of Financing

The comprehensive cost of financing in 2005 of Ps. 367 was 21.8% lower than in the previous year. This was primarily attributable to lower net interest payments and a higher gain in monetary position.

Other Income and Expenses

The Company registered a Ps. 138 expense for the year, 69.2% less than the 2004 figure. The difference is primarily attributable to the application, as of January 1, 2005, of Mexican GAAP Bulletin B-7, "Business Acquisitions", whereby goodwill is no longer amortized and is subject to periodic impairment tests.

Taxes

The Company paid taxes of Ps. 1,859 in 2005 which resulted in a rise in the implied tax rate for the year. The increase was primarily due to the impact of the appreciation of the Mexican peso against the U.S. dollar in the valuation of deferred taxes in the Company's favor, generated by fiscal losses registered in the international subsidiaries.

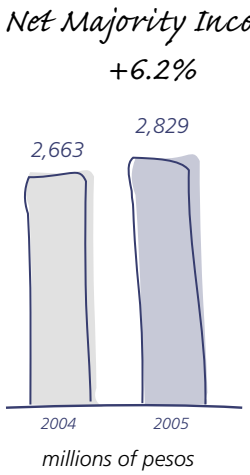
Extraordinary Items

The Company booked extraordinary income of Ps. 9 in 2005, which included the initial effect of the application of Mexican GAAP Bulletin C-10, "Derivative Instruments and Hedging Operations," and net income derived from the favorable judicial ruling on the deductibility of the profit sharing plan in 2003.

Net Majority Income

In 2005, the Company registered net majority income of Ps. 2,829 for 2005, a 6.2% increase over 2004, and a slight decline in net margin, from 5.1% to 5.0%, which reflected the Ps. 561 million in extraordinary income in 2004 related to the restatement and interest of recovered taxes. Excluding these gains, net margin in 2004 would have been 4.0%, implying a 100 basis point expansion in the current year to 5.0%.

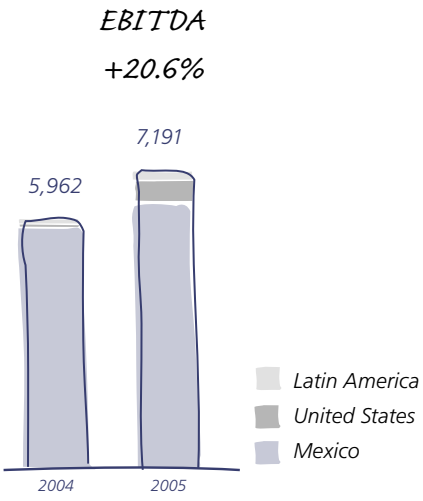
This primarily reflects the higher gross profit and good operating results, lower comprehensive cost of financing, and the reduction in other expenses.



Earnings Before Interest, Taxes, Depreciation and Amortization (EBITDA)

EBITDA for 2005 was Ps. 7,191, a 20.6% increase over the previous year, while EBITDA margin grew 150 basis points to 12.8% of sales.

As with operating income, EBITDA performance in the year consolidated the anticipated positive trend in international operations, where EBITDA margin in the United States and Latin American operations was 3.7% and 5.5% respectively.



Financial Structure

The Company's net debt at year-end 2005 totaled Ps. 4.2 billion, a decrease of 13.6% from 2004 that primarily reflects a higher cash position. This is particularly notable given the Ps. 2.0 billion invested in acquisitions over the course of the year.

The net debt to equity ratio at December 31, 2005 was 0.21 times, representing a slight reduction from the 0.28 reported at the end of 2004. Likewise, the net debt to EBITDA ratio was 0.6 times, which compared favorably with the 0.8 times reported in the previous year.

Highlights from the Year

September 30 2005

Grupo Bimbo announced that it signed an agreement with Arcor, S.A.I.C. ("Arcor"), of Argentina. With this agreement, Grupo Bimbo, through its subsidiary Barcel, S.A. de C.V., became the exclusive distributor in Mexico for "Bon o Bon" confectionery product. The distribution of "Bon o Bon" incorporated a high-quality well-known line into Grupo Bimbo's existing confectionery platform. The companies also agreed to co-invest in the construction of a confectionery plant in Mexico for the production of Arcor and Barcel products.

July 20 2005

Grupo Bimbo announced the acquisition of all share capital of Controladora y Administradora de Pastelerías, S.A. de C.V., operator of the "El Globo" pastry chain, in a Ps. 1,350 cash transaction. Through El Globo, Controladora y Administradora de Pastelerías produces and sells quality pastries via four production facilities and more than 170 stores. With this acquisition, Grupo Bimbo made its first entry into the retail pastry sales business. Following regulatory approval, the acquisition was completed on September 23, 2005.

June 9 2005

Grupo Bimbo announced the acquisition of certain assets and brands from Empresas Chocolates La Corona, S.A. de C.V. and its subsidiaries ("La Corona"), in an operation that amounted to Ps. 471, liquidated with the Company's own cash resources. La Corona has presence in the Mexican confectionery market, mainly in the chocolate segment. The transaction was completed on July 29, 2005 following regulatory approval.

Independent Auditors' Report

Grupo Bimbo, S. A. de C. V. and Subsidiaries

To the Board of Directors and Stockholders of Grupo Bimbo, S. A. de C. V.

We have audited the accompanying consolidated balance sheets of Grupo Bimbo, S. A. de C. V. and subsidiaries (the "Company") as of December 31, 2005 and 2004, and the related consolidated statements of income, changes in stockholders' equity and changes in financial position for the years then ended, all expressed in millions of Mexican pesos of purchasing power as of December 31, 2005. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We did not audit the financial statements of certain consolidated subsidiaries, which statements reflect total assets constituting 40% and 46%, respectively, of consolidated total assets as of December 31, 2005 and 2004, and net sales constituting 31% of consolidated net sales for the years then ended. Those statements were audited by other auditors, whose reports have been furnished to us, and our opinion, insofar as it relates to the amounts included for those entities, is based solely on the reports of such other auditors.

We conducted our audits in accordance with auditing standards generally accepted in Mexico. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in accordance with accounting principles generally accepted in Mexico. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of the other auditors provide a reasonable basis for our opinion.

Effective January 1, 2005, the Company applied the provisions of the new bulletins B-7 "Business Acquisitions", C-10 "Financial Derivative Instruments and Hedging Transactions" and D-3 "Employee Retirement Obligations". The effects of the adoption of these new accounting principles are described in Note 3.a. to these financial statements.

In our opinion, based on our audits and the reports of the other auditors, such consolidated financial statements present fairly, in all material respects, the financial position of Grupo Bimbo, S. A. de C. V. and subsidiaries as of December 31, 2005 and 2004, and the results of their operations, changes in their stockholders' equity and changes in their financial position for the years then ended in conformity with accounting principles generally accepted in Mexico.

The accompanying consolidated financial statements have been translated into English for the convenience of users.

Galaz, Yamazaki, Ruiz Urquiza, S. C.
Member of Deloitte Touche Tohmatsu



C. P. A. Javier Montero Donatto
March 7, 2006

Examiner's Report

Grupo Bimbo, S. A. de C. V. and Subsidiaries

To the Stockholders of Grupo Bimbo, S. A. de C. V.

In my role as Examiner and in compliance with Article 166 of the Mexican General Corporate Law and the corporate bylaws of Grupo Bimbo, S. A. de C. V., I submit my report regarding the truthfulness, sufficiency and fairness of the consolidated financial information presented to you by the Board of Directors relative to the Company's operations for the year ended December 31, 2005.

I have attended the Stockholders' and Board of Directors' Meetings to which I was summoned and have obtained from the Company's directors and management all of the information relative to the operations, documents and records that I deemed necessary to examine. My review was conducted in accordance with auditing standards generally accepted in Mexico.

Effective January 1, 2005, the Company applied the provisions of the new bulletins B-7 "Business Acquisitions", C-10 "Financial Derivative Instruments and Hedging Transactions" and D-3 "Employee Retirement Obligations". The effects of the adoption of these new accounting principles are described in Note 3.a. to these financial statements.

In my opinion, the accounting and reporting policies and criteria followed by the Company and considered by management to prepare the consolidated financial information presented at this meeting are adequate and sufficient and except for the changes mentioned in the preceding paragraph, with which I concur, were applied on a basis consistent with that of the preceding year. Therefore, such consolidated financial information presented by management truthfully, sufficiently and fairly presents the financial position of Grupo Bimbo, S. A. de C. V. at December 31, 2005, and the results of its operations, changes in its stockholders' equity and changes in its financial position for the year then ended in conformity with accounting principles generally accepted in Mexico.



C. P. A. Juan Mauricio Gras Gas
Examiner

March 7, 2006

Consolidated Balance Sheets

Grupo Bimbo, S. A. de C. V. and Subsidiaries

As of December 31, 2005 and 2004
(In millions of Mexican pesos of purchasing power of December 31, 2005)

	2005	2004
Asset		
Current assets:		
Cash and equivalents	**$ 4,110**	$ 3,885
Accounts and notes receivable, net	**3,467**	3,735
Inventories, net	**1,401**	1,249
Prepaid expenses	**237**	154
Total current assets	**9,215**	9,023
Property, plant and equipment, net	**18,469**	17,237
Investment in shares of associates	**685**	691
Derivative financial instruments	**12**	-
Deferred income taxes	**1,443**	1,759
Trademarks and rights of use	**3,000**	2,618
Goodwill	**3,717**	3,069
Intangible assets for employee retirement benefits	**407**	-
Other assets, net	**82**	273
Total	**$ 37,030**	$ 34,670
Liabilities and stockholders' equity		
Current liabilities:		
Short-term loans from financial institutions and current portion of long-term debt	**$ 247**	$ 199
Trade accounts payable	**3,019**	2,882
Other accounts payable and accrued liabilities	**2,335**	2224
Due to related parties	**367**	386
Statutory employee profit sharing payable	**413**	268
Total current liabilities	**6,381**	5,959
Long-term debt	**8,092**	8,580
Derivative financial instruments	**107**	-
Employee retirement benefits and workers' compensation	**1,214**	747
Deferred statutory employee profit sharing	**58**	76
deferred income taxes	**1,324**	1,637
Total liabilities	**17,176**	16,999
Stockholders' equity:		
Capital stock	**7,415**	7,415
Reserve for repurchase of shares	**703**	703
Retained earnings	**19,208**	16,715
Other comprehensive loss	**(5,665)**	(5,388)
Initial cumulative effect of deferred income taxes	**(2,203)**	(2,203)
Derivative financial instruments	**(68)**	-
Majority stockholder's equity	**19,390**	17,242
Minority interest in consolidated subsidiaries	**464**	429
Total stockholders' equity	**19,854**	17,671
Total	**$ 37,030**	$ 34,670

See accompanying notes to consolidated financial statements.

Consolidated Statements of Income

Grupo Bimbo, S. A. de C. V. and Subsidiaries

For the years ended December 31, 2005 and 2004
(In millions of Mexican pesos of purchasing power of December 31, 2005, except for earnings per share expressed in Mexican pesos)

	2005	2004
Net sales	**$ 56,102**	$ 52,573
Cost of sales	**25,798**	24,672
Gross profit	**30,304**	27,901
Operating expenses:		
Distribution and selling	**21,169**	19,879
Administrative	**3,933**	3,747
	25,102	23,626
Income from operations	**5,202**	4,275
Net comprehensive financing cost:		
Interest expense, net	**644**	728
Exchange (gain) loss, net	**(22)**	79
Monetary position gain	**(255)**	(338)
	367	469
Other expenses, net	**138**	446
Income before income taxes, statutory employee profit sharing and equity in results of associated companies	**4,697**	3,360
Income tax expense	**1,468**	900
Statutory employee profit sharing expense	**391**	352
Equity in income of associated companies	**(57)**	(58)
Income before extraordinary gain and cumulative effect of change in accounting principle	**2,895**	2,166
Extraordinary gain	**76**	561
Cumulative effect of change in accounting principle, net	**(67)**	-
Consolidated net income for the year	**$ 2,904**	$ 2,727
Net income of majority stockholder	**$ 2,829**	$ 2,663
Net income of minority stockholder	**$ 75**	$ 64
Earnings per share:		
Income before extraordinary gain and cumulative effect of change in accounting	**$ 2.46**	$ 1.84
Extraordinary gain	**$ 0.06**	$ 0.48
Cumulative effect of change in accounting principle, net	**$ (0.06)**	$ -
Basic earnings per common share	**$ 2.41**	$ 2.27
Weighted average number of shares outstanding (000's)	**1,175,800**	1,175,800

See accompanying notes to consolidated financial statements.

Consolidated Statements of Changes in Stockholders' Equity

Grupo Bimbo, S. A. de C. V. and Subsidiaries

For the years ended December 31, 2005 and 2004
(In millions of Mexican pesos of purchasing power of December 31, 2005)

	Capital stock	Reserve for repurchase of shares	Retained earnings
Balances, January 1, 2004	$ 7,415	$ 703	$ 15,084
Dividends declared	-	-	(1,032)
Acquisition of minority interest	-	-	-
Balances before comprehensive income (loss)	7,415	703	14,052
Consolidated net income for the year	-	-	2,663
Restatement effects for the year	-	-	-
Adjustment to additional pension liability	-	-	-
Translation effects of foreign subsidiaries	-	-	-
Comprehensive income (loss)	-	-	2,663
Balances, December 31, 2004	7,415	703	16,715
Dividends declared	-	-	(336)
Balances before comprehensive income (loss)	7,415	703	16,379
Initial cumulative effect of valuation of derivative instruments	-	-	-
Consolidated net income for the year	-	-	2,829
Effect of valuation of derivatives	-	-	-
Effect of valuation of financial instruments sold during the year	-	-	-
Restatement effects for the year	-	-	-
Adjustment to additional pension liability	-	-	-
Translation effects of foreign subsidiaries	-	-	-
Comprehensive income (loss)	-	-	2,829
Balances, December 31, **2005**	**$ 7,415**	**$ 703**	**$ 19,208**

See accompanying notes to consolidated financial statements.

Other comprehensive loss	Initial cumulative effect of deferred income taxes	Derivative financial instruments	Majority stockholder's equity	Minority interest in consolidated subsidiaries	Total stockholders' equity
$ (4,556)	$ (2,203)	$ -	$ 16,443	$ 418	$ 16,861
-	-	-	(1,032)	-	(1,032)
-	-	-	-	(29)	(29)
(4,556)	(2,203)	-	15,411	389	15,800
-	-	-	2,663	63	2,726
(357)	-	-	(357)	-	(357)
(120)	-	-	(120)	-	(120)
(355)	-	-	(355)	(23)	(378)
(832)	-	-	1,831	40	1,871
(5,388)	(2,203)	-	17,242	429	17,671
-	-	-	(336)	-	(336)
(5,388)	(2,203)	-	16,906	429	17,335
-	-	(102)	(102)	-	(102)
-	-	-	2,829	75	2,904
-	-	1	1	-	1
-	-	33	33	-	33
142	-	-	142	26	168
(156)	-	-	(156)	-	(156)
(263)	-	-	(263)	(66)	(329)
(277)	-	(68)	2,484	35	2,519
$ (5,665)	**$ (2,203)**	**$ (68)**	**$ 19,390**	**$ 464**	**$ 19,854**

Consolidated Statements of Changes in Financial Position

Grupo Bimbo, S. A. de C. V. and Subsidiaries

For the years ended December 31, 2005 and 2004
(In millions of Mexican pesos of purchasing power of December 31, 2005)

	2005	2004
Operating activities:		
Income before extraordinary gain and cumulative effect of change in accounting principle	**$ 2,895**	$ 2,166
Items that did not require (generate) resources-		
Depreciation and amortization	**1,865**	1,677
Amortization of goodwill	**-**	418
Equity in income of associated companies	**(57)**	(58)
Employee retirement benefits and workers' compensation	**60**	98
Deferred income taxes and statutory employee profit sharing	**(75)**	(449)
Impairment of long-lived assets	**124**	10
	4,812	3,862
Changes in current assets and liabilities:		
(Increase) decrease in:		
Accounts and notes receivable, net	**268**	1,501
Inventories	**152**	(101)
Prepaid expenses	**(83)**	(124)
Increase (decrease) in:		
Trade accounts payable	**137**	1,044
Other accounts payable, accrued liabilities and statutory employee profit sharing	**256**	(188)
Due to related parties	**(19)**	(182)
	711	1,951
Net resources generated by operating activities	**5,523**	5,813
Financing activities:		
Short-term loans from financial institutions and current portion of long-term debt	**48**	(540)
Long-term debt	**(488)**	(399)
Dividends declared	**(336)**	(1,032)
Derivative financial instruments	**(40)**	-
Adjustment to additional pension liability	**(156)**	(120)
Translation effects of foreign entities	**(329)**	(378)
Net resources used in financing activities	**(1,301)**	(2,090)
Investing activities:		
Decrease in investment in associated companies	**63**	37
Acquisition of property, plant and equipment, net of retirements	**(3,006)**	(1,735)
Goodwill	**(648)**	-
Trademarks and usage rights	**(509)**	-
Other assets	**103**	(24)
Net resources used in investing activities	**(3,997)**	(1,722)
Cash and equivalents:		
Increase	**225**	2,000
Balance at beginning of year	**3,885**	1,885
Balance at end of year	**$ 4,110**	$ 3,885

See accompanying notes to consolidated financial statements.

Notes to Consolidated Financial Statements

Grupo Bimbo, S. A. de C. V. and Subsidiaries

For the years ended December 31, 2005 and 2004
(In millions of Mexican pesos of purchasing power of December 31, 2005)

1. THE COMPANY

Grupo Bimbo, S. A. de C. V. and subsidiaries ("Bimbo" or the "Company") are engaged in the manufacture, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

The Company operates in the following geographical areas: Mexico, the United States of America ("USA"), and Central and South America ("OLA").

2. BASIS OF PRESENTATION

a. Explanation for translation into English - The accompanying consolidated financial statements have been translated from Spanish into English for use outside of Mexico. These consolidated financial statements are presented on the basis of accounting principles generally accepted in Mexico (MEX GAAP). Certain accounting practices applied by the Company that conform with MEX GAAP may not conform with accounting principles generally accepted in the country of use.

b. Consolidation of financial statements - The consolidated financial statements include those of Grupo Bimbo, S. A. de C. V. and its subsidiaries, whose more significant stockholdings are shown below:

Subsidiary	Ownership percentage	Principal business
Bimbo, S. A. de C. V.	97%	Bakery
Barcel, S. A. de C. V.	97%	Candies and snacks
Controladora y Administradora de Pastelerías, S. A. de C. V. (El Globo)	100%	Bakery and cakes
Bimbo Bakeries USA, Inc. ("BBU" o "USA")	100%	Bakery
Bimbo Argentina, S. A.	100%	Bakery
Ideal, S. A. (Chile)	100%	Bakery
Bimbo do Brasil, Ltd.	100%	Bakery

All significant intercompany balances and transactions have been eliminated in these consolidated financial statements.

The Company's investments in unconsolidated associated companies is valued by the equity method or historical costs, depending on the shareholding percentage, and are not consolidated in these financial statements as the Company does not have control over such entities.

During 2005 and 2004, net sales of Bimbo, S. A. de C. V. and Barcel, S. A. de C. V. in Mexico represented approximately 66% and 65%, respectively, of consolidated net sales.

c. Acquisitions - On September 23, 2005, the Company concluded its acquisition of 99.99% of the common voting stock of Controladora y Administradora de Pastelerías, S. A. de C. V. and subsidiaries ("El Globo"), a company engaged in the production and sale of cakes and bakery. The results of operations of El Globo as of that date have been included in the consolidated financial statements of the Company. This transaction totaled $1,350, which was settled with the Company's own resources, and generated goodwill of $363.

On July 29, 2005 the Company acquired certain assets and brands of Empresas Chocolates La Corona, S. A. de C. V. ("La Corona"), a company engaged in the production and sale of confectionery and candy products. This transaction totaled $471, which was settled using the Company's own resources and generated goodwill of $113.

During December 2005 the Company acquired 100% of the shares of Corporación PVC de Guatemala, S. A. for US $14.5 million. As a result of this transaction, intangible assets representing brand names of $52 were recorded and goodwill of $86 was generated.

On May 13, 2004, the Company acquired 99.99% of the shares of Joyco de México, S. A. de C. V., Alimentos Duval, S. A. de C. V. and Lolimen, S. A. de C. V., (jointly named "Joyco"). The companies are engaged in the production and sale of candies in Mexico, with leading brands of Lunetas, Duvalín and Bocadín. The amount of this transaction was $300, and resulted in goodwill of $169. As these companies are fully integrated into Barcel, S. A. de C. V. as of December 31, 2004, the goodwill originally recognized was amortized early, as mentioned in Note 3.g.

d. Translation of subsidiaries' financial statements - To consolidate the financial statements of foreign subsidiaries operating independently from the Company (located in the USA and other Latin American and European countries, which in 2005 and 2004 represented 32% of consolidated net sales, respectively, and 41% and 47% of consolidated total assets, respectively), the same accounting policies as those of the Company are applied. Accordingly, such financial statements are restated for inflation of the country in which the subsidiaries operate and are expressed in local currency of purchasing power at year end. Subsequently, all assets and liabilities are translated at the exchange rate prevailing at year end. Capital stock is translated at the exchange rate of the dates the contributions were made, and retained earnings, at the year end exchange rate of the year in which they were obtained. Revenues, costs and expenses are translated at the exchange rate of the closing of the year in which they were reported. The translation adjustment effects are recorded directly in stockholders' equity.

The financial statements of foreign subsidiaries included in the 2004 consolidated financial statements are restated in constant currency of the countries where they operate and translated into Mexican pesos, using the exchange rate of the latest year presented.

e. Comprehensive income (loss) and other comprehensive income (loss) - Comprehensive income (loss) presented in the accompanying statement of changes in stockholders' equity is the modification of stockholders' equity during the year for items that are not distributions and movements of contributed capital and includes consolidated net income for the year plus other items that represent a gain or loss for the same period which, in conformity with MEX GAAP, are recorded directly in stockholders' equity without affecting the results of operations. In 2005 and 2004, the items of other comprehensive income (loss) consist of the excess (insufficiency) in restatement of stockholders' equity, the adjustment to additional pension liability, the unrealized accrued effects of derivative instruments and the translation effects of foreign entities and minority stockholders' equity.

f. Reclassifications - Certain amounts in the financial statements as of December 31, 2004 have been reclassified to conform to the presentation of the financial statements as of December 31, 2005.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies followed by the Company are in conformity with MEX GAAP, which require management to make certain estimates and use certain assumptions that affect the amounts reported in the consolidated financial statements and the accompanying notes. Although these estimates are based on management's best knowledge of current events, actual results may differ. The significant accounting policies of the Company are as follows:

a. Change in accounting principles

Effective January 1, 2005, the Company adopted the provisions of the following accounting bulletins:

i. Bulletin B-7, "Business Acquisitions" ("B-7") provides rules for the accounting treatment of business acquisitions and investments in associated entities. It establishes, among others, a) the adoption of the purchase method as the sole valuation rule for these transactions; b) goodwill arising from an acquired entity should not be amortized, but should be subject to impairment tests, at least on an annual basis in conformity with Bulletin C-15, "Accounting for Impairment and Disposal of Long-lived Assets" and c) it also provides rules for the accounting treatment of asset transfers or share exchanges between entities under common control and for the acquisition of minority interest, the effects of which are recorded in stockholders' equity. The primary effect from application of this new principle is the suspension of the amortization of the goodwill and the brands, which show balances of $3,717 and $3,000, respectively, as of December 31, 2005, with no further effect to results for their amortization as of the year 2005, which amount would have been approximately $167 and $137, respectively.

ii. Bulletin D-3, "Employee Retirement Obligations" ("D-3") related to recognition of the liability for severance payments at the end of the work relationship for reasons other than restructuring, which is recorded using the projected unit credit method, based on calculations by independent actuaries. D-3 grants the option to immediately recognize, in current earnings, the resulting transition asset or liability, or to amortize it over the average remaining labor life of employees. Through December 31, 2004, severance payments were charged to results when the liability was determined to be payable. The accrued liability as of January 1, 2005 calculated by independent actuaries is $388. The Company chose to record such amount as a transition liability to be amortized using the straight-line method over the average years of service of employees, resulting in a net projected net liability for this item as of December 31, 2005 of $10.

iii. Bulletin C-10 "Derivative Financial Instruments and Hedging Activities" ("C-10"), which requires that all derivative instruments be recognized at fair value, sets the rules to recognize hedging activities and requires separation, if practical, of embedded derivative instruments. With respect to cash flow hedging, C-10 establishes that the effective portion be recognized temporarily under comprehensive income within stockholders' equity, with subsequent reclassification to current earnings at the time it is affected by the hedged item. The ineffective portion should be immediately recognized in current earnings. Up to December 31, 2004, according to prior accounting standards (Bulletin C-2, "Financial Instruments"), the Company recognized the effect of hedging derivatives under financial expenses of the associated liabilities

when the flow exchanges mentioned in the swap contract were actually executed. At January 1, 2005, the effect of initial adoption of C-10 resulted in the recognition of a net liability for derivative financial instruments of $125, with a corresponding debit to the deferred income tax of $35 and comprehensive income within stockholders' equity of $89, as well as a charge of $67 for the cumulative effect of the change in accounting principles for trading derivatives.

b. Recognition of the effects of inflation - The Company restates the financial statements of the Mexican entities and foreign subsidiaries in terms of the purchasing power of the Mexican peso at the date of the latest balance sheet, thereby recognizing the effects of inflation. Consequently, the financial statements presented for the prior year have also been restated based on the same purchasing power, so that their figures differ from those originally presented, which are shown in pesos of purchasing power at the close of that year. Consequently, the figures shown in the accompanying financial statements are comparable as they are expressed in constant pesos.

Recognition of the effects of inflation results in recording of inflationary effects on nonmonetary and monetary items with their respective gains and losses for inflation recognized in the following two headings, respectively:

- **Excess (insufficiency) in restated stockholders' equity -** This item consists of the result from monetary position accrued through the first restatement of the financial statements and the gain (loss) from holding nonmonetary assets, which represents the change in the specific level of prices above or below inflation. It is presented as restatement effects for the year.
- **Monetary position result -** The result from monetary position, which represents the erosion of the purchasing power of monetary items due to inflation, is calculated by applying factors derived from the National Consumer Price Index (NCPI) to the monthly net monetary position. Gains arise from maintaining a net liability monetary position.

c. Cash and cash equivalents - This caption consists of bank deposits and highly liquid realizable investments.

d. Inventories and cost of sales - Inventories are stated at average costs, which are similar to their replacement value at year end, without exceeding net realizable value. The cost of sales is stated at actual cost, which is similar to replacement cost at the time goods are sold.

e. Property, plant and equipment - Property, plant and equipment are recorded at acquisition or construction cost and restated using NCPI factors. Depreciation is calculated based on the remaining useful lives of the related assets. The percentages used by the Company at December 31, 2005 and 2004 were as follows:

Buildings	5
Manufacturing equipment	8, 10 and 35
Vehicles	10 and 25
Office furniture and fixtures	10
Computers	30

f. Derivative financial instruments - The Company states all derivatives at fair value in the balance sheet, regardless of the purpose for holding them. Through December 31, 2004, hedging derivatives were valued using the same valuation criteria used for the hedged item. When derivatives are designated as hedging, fair value is recognized depending on whether it is a fair value hedge or a cash flow hedge.

Changes in the fair value of derivative instruments designated as hedging are recognized as follows; (1) for fair value hedges, changes in both the derivative instrument and the hedged item are recognized in current earnings; (2) for cash flow hedges, changes are temporarily recognized as a component of comprehensive income and then reclassified to current earnings when affected by the hedged item. The ineffective portion of the change in fair value is immediately recognized in current earnings, within comprehensive financing cost (CIF), regardless of whether the derivative instrument is designated as a fair value hedge or a cash flow hedge.

The Company uses interest rate swaps and foreign currency forward contracts to manage its exposure to interest rate and foreign currency fluctuations, as well as futures to fix the purchase price of raw materials. The Company formally documents all hedging relationships, including their objectives and risk management strategies to carry out derivative transactions. Derivative trading is performed only with institutions of recognized solvency, and limits have been established for each institution. As a policy, the Company does not carry out derivative transactions of a speculative nature.

While certain derivative financial instruments are contracted for hedging from an economic point of view, they are not designated as hedges for accounting purposes. Changes in fair value of such derivative instruments are recognized in current earnings as a component of CIF.

As of January 1, 2005, hedging derivative instruments are recorded as assets or liabilities without offsetting them against the hedged items; until December 31, 2004, the related standard required offsetting.

g. Goodwill - Goodwill represents the excess of cost over book value of subsidiaries at the acquisition date. It is restated using the NCPI and, at least once a year, is subject to impairment tests. Through December 31, 2004, goodwill was amortized by the straight-line method over a term not to exceed 20 years. Amortization in 2004 was $418, including $187 for early amortization, which is explained in the following paragraph.

In 2004, the Company early amortized $187 corresponding to goodwill of subsidiaries totally integrated into the Company's operations. This amount mainly includes goodwill of the subsidiaries Productos de Leche Coronado, S. A. de C. V., Bimbo do Brasil, Ltda. and the negative goodwill of Joyco.

At December 31, 2004, the goodwill recorded is basically composed of the effects of the acquisition of the USA foreign subsidiary, Mrs. Baird's Bakeries, Inc. and the assets acquired in 2002 which were formerly owned by George Weston, Ltd. in the Western USA. As of December 31, 2005, it also consists of the goodwill generated on the acquisitions of El Globo and the assets of La Corona, executed in 2005, as described in Note 2.c.

h. Trademarks and rights of use - Derived from the acquisition of the George Weston, Ltd. businesses, the Company acquired the trademark of Oroweat bread, as well as a direct distribution system consisting of approximately 1,300 routes. Similarly, it acquired the usage rights of the Entenmann's, Thomas and Boboli trademarks. Such rights are no longer amortized; however, the values are subject to impairment tests.

i. Impairment of long-lived assets in use - The Company reviews the carrying amounts of long-lived assets in use when an impairment indicator suggests that such amounts might not be recoverable, considering the greater of the present value of future net cash flows or the net sales price upon disposal. Impairment is recorded when the carrying amounts exceed the greater of the amounts mentioned above. The impairment indicators considered for these purposes are, among others, the operating losses or negative cash flows in the period if they are combined with a history or projection of losses, depreciation and amortization charged to results, which in percentage terms in relation to revenues are substantially higher than that of previous years, obsolescence, reduction in the demand for the products manufactured, competition and other legal and economic factors. During 2005 and 2004, the Company recorded brand impairment of $124 and $10, respectively, mainly due to changes in market strategies, deciding not to use certain brands in the future.

j. Employee retirement benefits and workers' compensation - The liability from seniority premiums and pensions is recorded as accrued and is calculated by independent actuaries using the projected unit credit method at actual interest rates. Therefore, the liability is being recognized at present value, on the assumption that the liability for these benefits will be paid on the estimated general retirement date of the Company's employees. Through December 31, 2004, severance payments at the end of the employment relationship were charged to results when the liability was determined to be payable.

Worker's compensation relates to the insurable risks such as general liability, automobile liability, and workers' compensation that are self-insured by the Company, with insurance coverage subject to specified limits. Accruals for claims under the Company's program are recorded on a claim-incurred basis. Liabilities for insurable risks have been determined using the Company's historical data and insurance industry data according to actuarial calculations.

k. Income tax, tax on assets and statutory employee profit sharing - The provisions for income tax (ISR) and statutory employee profit sharing (PTU) are recorded in results of the year in which incurred. Deferred ISR assets and liabilities are recognized for temporary differences resulting from comparing the accounting and tax values of assets and liabilities plus any future benefits from tax loss carryforwards. A deferred ISR asset is recorded only when it is highly probable that it will be realized. Deferred PTU is derived from temporary differences between accounting and income for PTU purposes and is recognized only when it can be reasonably assumed that they will generate a liability or benefit, and there is no indication that this situation will change in such a way that the liabilities will not be paid or benefits will not be realized.

Tax on assets paid that is expected to be recoverable is recorded as an advance payment of ISR and is presented in the balance sheet decreasing the deferred ISR.

l. Foreign currency balances and transactions - Foreign currency transactions are recorded at the applicable exchange rate in effect at the transaction date. Monetary assets and liabilities denominated in foreign currency are translated into Mexican pesos at the applicable exchange rate in effect at the balance sheet date. Exchange fluctuations are recorded as a component of results of the period.

m. Revenue recognition - Revenues are recognized in the period in which the risks and rewards of the products are transferred to the customers who purchased them, which generally occurs when these products are delivered to the customer. The Company deducts marketing expenses, such as promotion expenses, from sales.

n. Earnings per share - Basic earnings per share is calculated by dividing consolidated net majority income by the weighted average number of shares outstanding during the year.

4. ACCOUNTS AND NOTES RECEIVABLE

	2005	2004
Customers and agencies	$ 2,890	$ 2,471
Allowance for doubtful accounts	(102)	(103)
	2,788	2,368
Notes receivable	90	116
Recoverable income tax due to the loss on the shares sale	-	318
Value-added tax and other recoverable taxes	277	225
Sundry debtors	273	659
Officers and employees	39	49
	$ 3,467	$ 3,735

5. INVENTORIES

	2005	2004
Finished products	$ 459	$ 347
Orders in-process	34	18
Raw materials, containers and wrapping	722	735
Other	56	46
Allowance for slow moving inventories	(4)	(5)
	1,267	1,141
Advances to suppliers	74	73
Raw materials-in-transit	60	35
	$ 1,401	$ 1,249

6, PROPERTY, PLANT AND EQUIPMENT

	2005	2004
Buildings	$ 6,842	$ 6,233
Manufacturing equipment	16,330	15,030
Vehicles	6,569	6,260
Office furniture and fixtures	336	151
Computers	1,007	966
	31,084	28,640
Less- Accumulated depreciation	(15,295)	(13,722)
	15,789	14,918
Land	1,992	1,886
Construction in-progress and machinery in-transit	688	433
	$ 18,469	$ 17,237

7. INVESTMENT IN SHARES OF ASSOCIATES

At December 31, 2005 and 2004, the investment in associated companies is as follows:

Associated companies	%	2005	2004
Artes Gráficas Unidas, S. A. de C. V.	15	$ 73	$ 78
Beta San Miguel, S. A. de C. V.	8	227	237
Bismark Acquisition, L.L.C.	30	34	45
Congelación y Almacenaje del Centro, S. A. de C. V.	10	39	43
Grupo Altex, S. A. de C. V.	11	62	65
Grupo La Moderna, S. A. de C. V.	3	120	85
Ovoplus, S. A. de C. V.	25	29	30
Pierre, L.L.C.	30	16	20
Productos Rich, S. A. de C. V.	18	44	47
Others	Various	41	41
		$ 685	$ 691

8. LONG-TERM DEBT

	2005	2004
Committed Revolving line (Multi-currency) – On July 20, 2005, the Company restructured certain of the terms of committed revolving line of credit contract originally agreed on May 21, 2004, with four financial institutions. Among these changes, the line of credit was extended from US $250 to US $600 million, with a new maturity in May 2010. For any Mexican peso borrowings under this line, the Company must pay the TIIE rate plus 0.35 percentage points for the first three years, and the TIIE rate plus 0.40 percentage points from the fourth year until maturity, while for borrowings in US dollars, it must pay the LIBOR rate plus 0.40 percentage points for the first three years and the LIBOR rate plus 0.45 percentage points from the fourth year until maturity. The TIIE and LIBOR rates as of December 31, 2005 were 8.5650% and 4.5362%, respectively. During 2004, Grupo Bimbo made the first borrowing in US dollars of 125 million, which, added to the Company's own resources, were applied to early settle the remaining US $137 million of the syndicated loan contracted in October 2001. This US dollar borrowing was maintained during 2005.	**$ 1,339**	$ 1,455
Share certificates - The Company issued share certificates on four occasions (payable upon maturity) to refinance short-term liabilities contracted to acquire certain assets in the Western United States. Such issues were structured as follows: - Bimbo 02- For $2,750 issued on May 17, 2002, maturing in May 2007, with a variable interest rate equal to the 182-day CETES rate plus 0.92 percentage points, which was 9.68% per annum as of December 31, 2005; - Bimbo 02-2- For $750 issued on May 17, 2002, maturing in May 2012, with a fixed interest rate of 10.15% per annum; - Bimbo 02-3- For $1,150 issued on August 2, 2002, maturing in August 2009, with a fixed interest rate of 11% per annum; - Bimbo 02-4- For $1,850 issued on August 2, 2002, maturing in August 2008, with a variable interest rate equal to the 182-day CETES plus 0.97 percentage points, which was 10.68% per annum as of December 31, 2005.	**6,500**	6,711
Direct loans - On February 2, 1996, the Company contracted financing of US $140 million, comprised of 3 promissory notes with International Finance Corporation (IFC). Notes "A" and "B" bear a fixed interest rate of 8.74% and "C" bears a variable interest rate at the 6-month LIBOR, paid semiannually. The term of notes "A" and "B" is 12 years, and principal is paid in 11 annual payments beginning February 1998. Note "C" is for 10 years. Note C was paid early on April 12, 2002. In February 2005, the Company paid off US $11.8 million on Notes A and B; therefore, the balance of this loan at December 31, 2005 is US $35.4 million.	**379**	549
Other - Certain subsidiaries have contracted other direct loans, which will be paid from 2007 to 2009, at various interest rates.	**121**	64
	8,339	8,779
Less – Current portion of long-term debt	**(247)**	(199)
Long-term debt	**$ 8,092**	$ 8,580

At December 31, 2005, long-term debt matures as follows:

2007	**2,877**
2008	**1,976**
2009	**1,150**
2010	**1,339**
2012	**750**
	$ 8,092

The loan contracts establish certain covenants and also require that the Company, based on the consolidated financial statements, maintain determined financial ratios. At December 31, 2005 and 2004, the Company had complied with all the obligations established in the loan contracts.

9. DERIVATIVE FINANCIAL INSTRUMENTS

Mexico-

Interest rate hedges – The Company issued share certificates for $6,500 in 2002 (described in Note 8) and simultaneously contracted swaps that change the profile of the debt from variable to fixed rate; the notional amount is $3,750 and represents 50% of the share certificates outstanding. These derivatives were designated as cash flow hedges, and as of their formal designation it was assumed that they would not generate ineffective portions.

As of December 31, and January 1, 2005, the trading characteristics of the hedge instruments are as follows:

Swaps that set share certificate rates

Date of				Interest rate		
Commencement	Maturity	Notional amount	Floating (collected)	Fixed (paid)		Fair value
Figures as of December 31, 2005						
May 17, 2002	May 10, 2007	$ 2,750	9.68%	10.38%	$	(56)
May 17, 2002	May 10, 2007	$ 1,000	10.68%	10.94%		(51)
					$	(107)
Effects as of January 1, 2005						
May 17, 2002	May 10, 2007	$ 2,750	9.73%	10.38%	$	(49)
May 17, 2002	May 10, 2007	$ 1,000	9.13%	10.94%		(42)
					$	(91)

The fair value of the swaps as of December 31, 2005 was recognized as a liability for $107, with a charge of $30 to the deferred income tax liability and a charge of $77 to comprehensive income. It is estimated that in 2006, $32 will be reclassified (net of income tax) from comprehensive income to results, which will be recognized in the same heading as the item being hedged, as part of the CIF.

Interest-rate and foreign currency hedges - In the year 2005 derivatives with interest rate and foreign currency underlying for a notional amount of US $270 million reached term and were sold before maturity, of which US $170 million was classified as trading, because it did not meet the requirements for accounting recognition as hedging. The cumulative effect as of January 1, 2005 of the loss on the sale of trading instruments was $67, net of income tax, which was recognized in 2005 results under the heading of cumulative effect due to change in accounting principle.

Foreign currency forwards - In January 2005, six forward contracts matured with a notional amount of US $96 million, which set the exchange rate for the acquisition of futures at the weighted average rate of $11.28 per US$1.00. The exchange loss of $5 on the settlement of these instruments was recorded in CIF. At the close of 2005, there were no derivatives contracted with this underlying.

Wheat price hedges - The Company signs wheat futures contracts to minimize the risks of variation in international prices of wheat, the primary component of the flour which is the main input used by the Company in the manufacture of its products. The transactions are performed in recognized commodities markets, and through their formal documentation are designated as forecast transaction hedges (wheat purchases).

As of December 31 and January 1, 2005 the characteristics of these hedging instruments are as follows:

Futures contracts to set the purchase price of wheat

		Contracts			
Commencement date	Position	Number	Maturity		Fair value
Figures at December 31, 2005					
August to November 2005	Long	628	March 2006	$	7
November 2005	Long	111	May 2006		2
				$	9
Figures at January 1, 2005					
November and December 2004	Long	403	May 2005	$	2
December 2004	Long	735	July 2005		-
				$	2

The long position at the close of 2005 of 739 contracts (5,000 bushels each contract) showed fair value of $9, which was recognized as an asset with a credit to the deferred tax liability of $2 and a credit to comprehensive income of $7. The balance in comprehensive income as of December 31, 2005 for futures contracts is $9, including $2 in closed contracts which have not yet been reclassified to cost of sales because they have not been consumed.

It is estimated that the total amount of comprehensive income from futures contracts at the close of 2005 will be reclassified to results during 2006.

Embedded derivative instruments - The Company has contracts with characteristics of embedded derivatives; however, as they do not comply with the conditions established under the guidelines of Bulletin C-10 for their separation, they were not valued or recorded.

USA-

Wheat price hedges - To protect itself from risks derived from fluctuations in wheat commodities prices, the Company uses futures contracts on a selective basis. Fluctuations in the value of derivative financial instruments, stated at fair value, are recognized in results of operations for the year, net of the costs and expenses derived from the assets whose risks are being hedged. The premiums paid or received for the derivative financial instruments acquired for hedging purposes are deferred and amortized, with a charge to results for the year during the life of such instruments.

During 2005 and 2004, BBU performed derivative financial transactions intended to cover increases in the price of wheat for bread-making, which generated gains (losses) for $1 and $(3), respectively. These effects were recognized in results of each year within cost of sales.

As of December 31, 2005 and 2004, the futures contract totaled approximately 625,000 and 3,595,000 bushels at prices ranging from US $3.79 to US $3.89, and from US $3.25 to US $3.85 per bushel, respectively.

10. EMPLOYEE RETIREMENT BENEFITS AND WORKERS' COMPENSATION

a. Mexico - The Company has pension and death or total disability plans for its management-level employees and a seniority premium plan for all of its employees, which consist of a one-time payment of 12 days for each year worked based on their final salary, not exceeding double the minimum wage established by law for all its personnel, as stipulated in the respective employment contracts. The related liability and annual benefits costs are calculated by an independent actuary in conformity with the bases defined in the plans, using the projected unit credit method.

The present value of these obligations and the rates used in the calculation are as follows:

		2005		2004
Actuarial present value of accumulated benefit obligation	**$**	**(3,183)**	$	(2,644)
Projected benefit obligation	**$**	**(3,862)**	$	(3,271)
Plan assets (fund in trust)		**3,595**		3,405
Funded status		**(267)**		134
Items to be amortized:				
Past service costs and changes to the plan		**(10)**		(21)
Variances in assumptions and adjustments for experience		**319**		594
Transition asset		**(47)**		(511)
Net projected (liability) asset (included in other assets)		**(5)**		196
(Additional liability) / intangible asset		**(407)**		-
	$	**(412)**	$	196

Net cost of the period is as follows:

		2005		2004
Cost of services for the year	**$**	**207**	$	193
Amortization of transition asset		**(26)**		(28)
Amortization in past services and changes to the plan, variances in assumptions and adjustments for experience		**11**		14
Cost of financing for the year		**150**		136
Less – yield on fund assets		**(170)**		(164)
Net cost of the period	**$**	**172**	$	152

The actual interest rates used in the actuarial calculations were:

	2005	2004
Discount of projected benefit obligation at present value	**4.50%**	4.50%
Wage increase	**1.50%**	1.50%
Yield on fund assets	**5.00%**	5.00%

Unrecognized items are charged to results based on the average remaining service lives of employees expected to receive benefits, which is 30 years.

b. USA - The Company has established defined benefit pension plans ("the Pension Plans") that cover eligible employees. The Company's funding policy is to make discretionary annual contributions. During 2005 and 2004, the Company made contributions to the Pension Plans of $89 and $180, respectively. As of January 1, 2005, certain benefits plans were frozen for certain nonunion employees. The starting date for such calculation was December 31, 2005.

The following table sets forth the funded status and amounts recognized for the Pension Plans and the workers' compensation liability in the consolidated balance sheet as of December 31, 2005 and 2004:

	2005	2004
Actuarial present value of accumulated benefit obligation	**$ (1,409)**	$ (1,286)
Projected benefit obligation	**$ (1,589)**	$ (1,405)
Plan assets	**892**	910
Funded status	**(697)**	(495)
Unamortized actuarial loss and cost of past services, net	**583**	365
Net projected (liability)	**(114)**	(130)
Additional liability	**(403)**	(246)
	(517)	(376)
Workers' compensation	**(290)**	(371)
Employee retirement benefits and workers' compensation	**$ (807)**	$ (747)

Net pension cost includes the following components:

	2005	2004
Cost of services for the year	**$ 51**	$ 80
Cost of financing for the year	**79**	83
Expected return on plan assets	**(79)**	(78)
Net loss recognition	**18**	12
Net pension cost	**$ 69**	$ 97

Following is a summary of significant actuarial assumptions used:

	2005	2004
Weighted average discount rates	**5.75%**	6.25%
Rates of increase in compensation levels	**3.75%**	3.75%
Expected long-term rate of return on assets	**8.25%**	8.25%

c. Other countries - At December 31, 2005, the liability from employee retirement benefits in other countries is not significant.

11. STOCKHOLDERS' EQUITY

a. At December 31, 2005, stockholders' equity consists of the following:

	Number of shares	Par value	Restatement / translation effect	Total
Fixed Capital				
Series A	1,175,800,000	$ 1,902	$ 5,513	$ 7,415
Series B	-	-	-	-
Total shares	1,175,800,000	$ 1,902	$ 5,513	$ 7,415
Reserve for repurchase of shares		600	103	703
Retained earnings		7,838	11,370	19,208
Other items of the accumulated comprehensive income (loss)		(276)	(5,389)	(5,665)
Initial cumulative deferred income taxes effect		(1,747)	(456)	(2,203)
Financial instruments		(66)	(2)	(68)
Minority interest		481	(17)	464
Total		$ 8,732	$ 11,122	$ 19,854

Capital stock is fully subscribed and paid, and represents fixed capital. Variable capital cannot exceed 10 times the amount of minimum fixed capital without right of withdrawal and must be represented by Series "B", ordinary, nominative, no-par shares and/or limited voting, nominative, no-par shares of the Series to be named when they are issued. Limited voting shares cannot represent more than 25% of non-voting capital stock.

b. Dividends paid in 2005 and 2004 were:

Approved at the stockholders' meeting of:	Mexican pesos per share	Per value total	Value at December 31, 2005
April 8, 2005	$ 0.28	$ 329	**$ 336**
November 8, 2004	$ 0.60	$ 705	**$ 730**
April 29, 2004	$ 0.24	$ 282	**$ 302**

c. Retained earnings include the statutory legal reserve. The General Corporate Law requires that at least 5% of net income of the year be transferred to the legal reserve until the reserve equals 20% of capital stock at par value (historical pesos). The legal reserve may be capitalized but may not be distributed unless the entity is dissolved. The legal reserve must be replenished if it is reduced for any reason. At December 31, 2005 and 2004, the legal reserve, in historical pesos, was $500.

d. Stockholders' equity, except restated paid-in capital and tax retained earnings, will be subject to income tax at the rate in effect when the dividend is distributed. In 2005 and 2004, the ISR rate was 30% and 33%, respectively; it will decrease to 29% in 2006 and 28% in 2007 and thereafter. Any tax paid on such distribution may be credited against the income tax payable of the year in which the tax on the dividend is paid and the two fiscal years following such payment.

e. The balances in the stockholders' equity tax accounts at December 31 are:

	2005	2004
Paid-in capital	**$ 6,600**	$ 6,600
Net after-tax income	**15,051**	12,525
Total	**$ 21,651**	$ 19,125

12. FOREIGN CURRENCY BALANCES AND TRANSACTIONS

a. At December 31, 2005 and 2004, the foreign currency monetary position in millions of US dollars, for the Mexican entities only, is as follows:

	2005	2004
Current assets	**164**	30
Liabilities-		
Short term	**(17)**	(19)
Long term	**(149)**	(160)
Total liabilities	**(166)**	(179)
Liability position, net	**(2)**	(149)
Mexican peso equivalent	**$ (21)**	$ (1,734)

b. The Company has significant operations in USA and OLA as indicated in Note 18.

c. Transactions in millions of US dollars, for the Mexican entities only, were as follows:

	2005	2004
Export sales	**12**	9
Imported purchases	**77**	98

d. The exchange rates in effect at the dates of the balance sheets and of issuance of these financial statements, respectively, were as follows:

	December 31,		March 7,
	2005	2004	2006
Pesos per one US dollar	**$ 10.7109**	$ 11.2648	$ 10.6118

13. TRANSACTIONS AND BALANCES WITH RELATED PARTIES

a. Transactions with related parties, carried out in the ordinary course of business, were as follows:

	2005	2004
Expenses-		
Purchases of raw materials and finished products	**$ 3,815**	$ 3,749

b. The net balances due to related parties are:

	2005	2004
Artes Gráficas Unidas, S. A. de C. V.	**$ 36**	$ 35
Beta San Miguel, S. A. de C. V.	**87**	89
Efform, S. A. de C. V.	**9**	8
Frexport, S. A. de C. V.	**26**	30
Grupo Altex, S. A. de C. V.	**107**	115
Industrial Molinera Montserrat, S. A. de C. V.	**14**	16
Industrial Molinera San Vicente de Paul, S. A. de C. V.	**11**	11
Makymat, S. A. de C. V.	**6**	8
Ovoplus del Centro, S. A. de C. V.	**22**	24
Pan-Glo de México, S. de R. L. de C. V.	**8**	2
Paniplus, S. A. de C. V.	**14**	18
Proarce, S. A. de C. V.	**15**	20
Grupo La Moderna, S. A. de C. V.	**3**	1
Uniformes y Equipo Industrial, S. A. de C. V.	**9**	9
	$ 367	$ 386

14. OTHER EXPENSES, NET

	2005	2004
Effect of restatement on taxes	**$ (20)**	$ (55)
Loss on sale of machinery and equipment	**85**	60
Amortization of goodwill	**-**	418
Loss (income) from sale of shares	**25**	(5)
Others, net	**48**	28
	$ 138	$ 446

15. TAX ENVIRONMENT

Income taxes, tax on assets and statutory employee profit sharing in Mexico

In accordance with Mexican tax law, the Company is subject to income tax (ISR) and tax on assets (IMPAC). ISR is computed taking into consideration the taxable and deductible effects of inflation, such as depreciation calculated on restated asset values. Taxable income is increased or reduced by the effects of inflation on certain monetary assets and liabilities through the inflationary component, which is similar to the gain or loss from monetary position. On December 1, 2004 certain amendments to the ISR and IMPAC laws were enacted and were effective in 2005. The most significant amendments were as follows: a) the ISR rate was reduced to 30% in 2005 and will be further reduced to 29% in 2006 and 28% in 2007 and thereafter (the rate in 2004 was 33%); b) for income tax purposes, cost of sales is deducted instead of inventory purchases and related conversion costs; c) taxpayers had the ability to elect, in 2005, to ratably increase taxable income over a period from 4 to 12 years by the tax basis of inventories as of December 31, 2004 determined in conformity with the respective tax rules; when electing to amortize the tax basis of inventories into taxable income, any remaining tax balance of inventories that had not been deducted and any unamortized tax loss carryforwards were deducted from the tax basis of the December 31, 2004 inventory balance; as a consequence, cost of sales of such inventories were deducted; d) as of 2006, statutory employee profit sharing paid will be fully deductible; and e) bank liabilities and liabilities with foreign entities are included to determine the IMPAC taxable base.

IMPAC is calculated by applying 1.8% on the net average of the majority of restated assets less certain liabilities and is payable only to the extent that it exceeds ISR payable for the same period; any required payment of IMPAC is creditable against the excess of ISR over IMPAC of the following ten years.

Grupo Bimbo, S. A. de C. V. determined consolidated ISR and IMPAC with its Mexican subsidiaries, in the proportion held of the voting stock of its subsidiaries at year-end.

Income taxes, tax on assets and statutory employee profit sharing in other countries

The foreign subsidiaries calculate income taxes on their individual results, in accordance with the regulations of each country. The subsidiaries in the USA have authorization to file a consolidated income tax return.

The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory Income Tax Rate (%)		Period of Expiration
	2005	**2004**	
Austria	**25.0**	34.0	(a)
Argentina	**35.0**	35.0	5
Brazil	**(b) 34.0**	(b) 34.0	(c)
Colombia	**(d) 35.0**	(d) 35.0	(e)
Costa Rica	**30.0**	30.0	3
Chile	**17.0**	17.0	(f)
El Salvador	**25.0**	25.0	(g)
Spain	**35.0**	35.0	15
United States of America	**(h) 35.0**	(h) 35.0	20
Guatemala	**31.0**	31.0	(i)
Honduras	**25.0 to 30.0**	25.0 to 30.0	(g)
Hungary	**16.0**	18.0	(f)
Nicaragua	**30.0**	30.0	3 to 4
Peru	**30.0**	30.0	(j)
Czech Republic	**26.0**	28.0	5 to 7
Uruguay	**30.0**	30.0	3
Venezuela	**34.0**	34.0	3

(a) The losses generated after 1990 may be applied indefinitely but can only be offset each year up to an amount equal to 75% of the net taxable profit for the year.

(b) The income tax rate in Brazil is 15%, and above certain amounts an additional 10% may be added, plus corporate benefit charges of 9%, whose calculation base is similar to the statutory income tax rate.

(c) Tax losses may be applied indefinitely, but may only be offset each year up to an amount equivalent to 30% of the net taxable profit for the year.

(d) Includes a surcharge of 10% above the statutory rate to 35%

(e) In Colombia, the tax losses generated prior to December 31, 2002 may be applied over a five-year period, and those losses generated after January 1, 2003 can be applied over an eight-year period, but are limited to 25% of the taxable profit for each year.

(f) No expiration date.

(g) Cannot be applied.

(h) This percentage must be increased by a percentage for state tax, which varies in every state of the US. The weighted statutory rate for the Company in 2005 and 2004 was 38.2% and 37.6%, respectively.

(i) In Guatemala, tax losses may only be applied by newly created companies, for which reason this does not apply to the Company's operations.

(j) As of the year in which taxable profit is generated, companies have four years to apply them at 100% or an indefinite period at 50%.

Operations in Argentina, Colombia, Guatemala, Nicaragua and Venezuela are subject to minimal payments of ISR or IMPAC.

Operations in Brazil and Venezuela are subject to PTU payments according to certain rules based on accounting income. During 2005 and 2004 there were no PTU payments in such countries.

Items comprising the ISR provision, effective rate and deferred effects

a. The ISR and PTU consist of the following:

		2005		2004
ISR:				
Current	$	1,526	$	1,426
Deferred		(58)		(526)
	$	1,468	$	900
PTU:				
Current	$	408	$	275
Deferred		(17)		77
	$	391	$	352

b. Following is a reconciliation of the statutory and effective ISR rates expressed as a percentage of income before ISR and PTU at December 31, 2005 and 2004:

	%	
	2005	2004
Statutory income tax rate	30.0	33.0
Inflationary effects	0.8	0.6
Non deductible expenses and others	0.5	2.7
Difference in tax rates and currency applied by subsidiaries located in various tax jurisdictions	0.3	(4.3)
Effect of reduction in statutory rate on deferred ISR	-	(4.9)
Change in the valuation of tax loss carryforwards allowance	(0.3)	(0.4)
Effective tax rate	31.3	26.7

c. At December 31, 2005 and 2004, the main items comprising the net deferred income tax asset are as follows:

		2005		2004
Advances to customers	$	115	$	124
Allowance for doubtful accounts		31		33
Inventories		(195)		(269)
Property, plant and equipment and intangibles		(1,850)		(1,381)
Other investments		58		60
Other reserves		648		470
Tax loss carryforwards		1,688		1,506
Valuation allowance		(572)		(612)
Recoverable tax on assets		196		191
Total assets, net	$	119	$	122

Note that the net deferred income tax asset has not been offset in the accompanying consolidated balance sheet as they result from different taxable entities and tax authorities. Gross amounts are as follows:

	2005	2004
Deferred income tax asset	$ 1,443	$ 1,759
Deferred income tax liability	1,324	1,637
Total asset, net	$ 119	$ 122

d. Since the Company's tax losses are mainly derived from its transactions with USA and different countries of the OLA, certain tax losses will not be recoverable before their expiration date. Consequently, the Company has recognized a valuation allowance for part of such tax items.

e. Tax loss carryforwards and recoverable IMPAC for which the deferred ISR asset and prepaid ISR, respectively, can be recovered subject to certain conditions. Tax losses generated in countries for which an expiration date exists will expire from 2006 through 2024, with most expiring as of 2020.

f. As a result of the tax amendments published on December 1, 2004, the Company recorded a net deferred PTU liability of $76 related to inventories, since cost of sales will now be deducted in place of inventories purchased, as mentioned in this note above.

16. EXTRAORDINARY GAIN

During the fourth quarter of 2004, the Company had an extraordinary gain derived from the favorable conclusion of a lawsuit filed by the Company. The aforementioned lawsuit involved the treatment of losses suffered from the sale of shares, per article 25-XVIII of the ISR Law in effect until December 31, 2001. In 2005, the Company obtained a similar favorable verdict, and obtained the corresponding amounts of restatement for inflation and interest generated from such favorable verdict. The effect was $561 net of $84 of income tax effect. During 2005, the extraordinary item consists of $76, the result of a tax lawsuit on the deductibility of PTU for 2003.

17. COMMITMENTS

Guaranties and/or guarantors

a. At December 31, 2005, in conjunction with certain subsidiaries, Grupo Bimbo, S. A. de C. V. issued letters of credit to guarantee commercial obligations and contingent risks related to the labor obligations of certain subsidiaries. The value of such letters of credit, added to those issued to guarantee certain third-party obligations, derived from long-term supply contracts signed by the Company, totals US $95.7 million, of which a liability of US $32 million has already been recorded for employment benefits in the USA.

b. The Company has guaranteed certain contingent obligations of associated companies for the amount of US $29.3 million. Similarly, the Company has issued guarantees for third party obligations derived from the sale of assets in prior years, for the amount of US $14 million.

Leasing commitments

c. The Company has long-term commitments under operating leases, principally for the facilities used to produce, distribute and sell its products. These commitments vary from three to 15 years, with a renewal option of between one and five years. Certain leases require the Company to pay all related expenses, such as taxes, maintenance and insurance for the term of the contracts. The total amount of lease commitments is as follows:

Year	
2006	425
2007	348
2008	274
2009	228
2010 and thereafter	671
Total	$ 1,946

Liens

d. At December 31, 2005, the Company has collateral in cash of $7.6 to guarantee certain liabilities of an associated company.

18. INFORMATION BY GEOGRAPHICAL AREA

The following is the principal data by geographical area in which the Company operates for the years ended December 31, 2005 and 2004:

2005

	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 39,902	$ 13,546	$ 3,982	$ (1,328)	$ 56,102
Operating income	$ 5,030	$ 75	$ 52	$ 45	$ 5,202
Majority net income (loss)	$ 2,618	$ 213	$ (21)	$ 19	$ 2,829
Depreciation and amortization (excluding amortization of goodwill)	$ 1,390	$ 432	$ 167	$ -	$ 1,989
Operating income, plus depreciation and amortization (EBITDA)	$ 6,420	$ 507	$ 219	$ 45	$ 7,191
Total assets	$ 26,962	$ 10,023	$ 3,125	$ (3,080)	$ 37,030
Total liabilities	$ 17,385	$ 2,273	$ 937	$ (3,419)	$ 17,176

2004

	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 36,800	$ 13,173	$ 3,741	$ (1,141)	$ 52,573
Operating income (loss)	$ 4,632	$ (288)	$ (100)	$ 31	$ 4,275
Majority net income (loss)	$ 3,611	$ (652)	$ (501)	$ 205	$ 2,663
Depreciation and amortization (excluding amortization of goodwill)	$ 1,124	$ 345	$ 218	$ -	$ 1,687
Operating income, plus depreciation and amortization (EBITDA)	$ 5,756	$ 57	$ 118	$ 31	$ 5,962
Total assets	$ 23,841	$ 9,680	$ 2,916	$ (1,767)	$ 34,670
Total liabilities	$ 15,289	$ 2,171	$ 907	$ (1,368)	$ 16,999

19. NEW ACCOUNTING PRINCIPLES

As of May 31, 2004, the Mexican Institute of Public Accountants, A. C. ("IMCP") formally transferred the function of establishing and issuing financial reporting standards to the Mexican Board for Research and Development of Financial Reporting Standards ("CINIF"), consistent with the international trend of requiring this function be performed by an independent entity.

Accordingly, the task of establishing bulletins of Mexican GAAP and circulars issued by the IMCP was transferred to CINIF, who subsequently renamed standards of Mexican GAAP as "Normas de Información Financiera" (Financial Reporting Standards, or "NIFs"), and determined that NIFs encompass (i) new bulletins established under the new function; (ii) any interpretations issued thereon; (iii) any Mexican GAAP bulletins that have not been amended, replaced or revoked by the new NIFs; and (iv) International Financial Reporting Standards ("IFRS") that are supplementary guidance to be used when Mexican GAAP does not provide primary guidance.

One of the main objectives of CINIF is to achieve greater concurrence with IFRS. To this end, it started by reviewing the theoretical concepts contained in MEX GAAP and establishing a Conceptual Framework ("CF") to support the development of financial reporting standards and to serve as a reference in resolving issues arising in the accounting practice. The CF is formed by eight financial reporting standards, which comprise the NIF-A series. The NIF-A series, together with NIF B-1, were issued on October 31, 2005. Their provisions are effective for years beginning January 1, 2006, superseding all existing Mexican GAAP series A bulletins.

The new NIFs are as follows:

NIF A-1 Structure of Financial Reporting Standards.

NIF A-2 Fundamental Principles.

NIF A-3 Users' Needs and Financial Statement Objectives.

NIF A-4 Qualitative Characteristics of Financial Statements.

NIF A-5 Basic Elements of Financial Statements.

NIF A-6 Recognition and Valuation.

NIF A-7 Presentation and Disclosure.

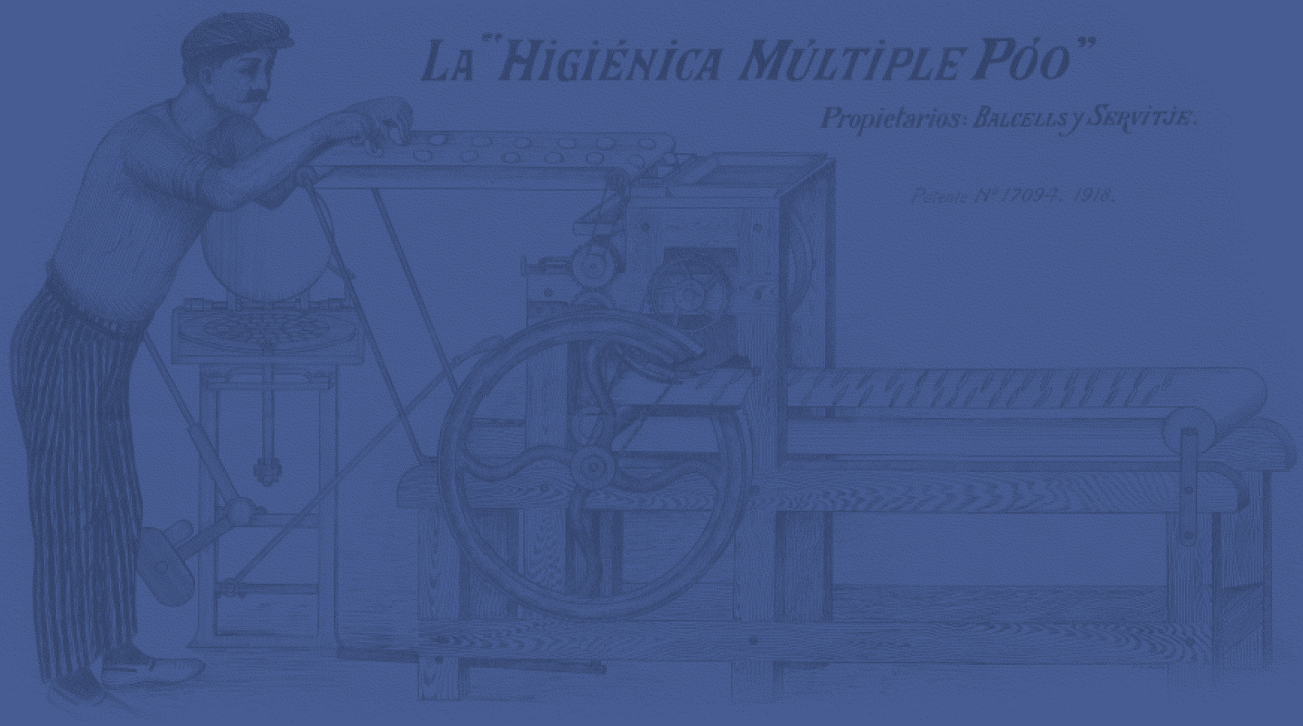
NIF A-8 Supplementary Standards to MEX GAAP.

NIF B-1 Accounting Changes.

The most significant changes established by these standards are as follows:

- In addition to the statement of changes in financial position, NIF A-3 includes the statement of cash flows, which should be issued when required by a particular standard.
- NIF A-5 includes a new classification for revenues and expenses: ordinary and not ordinary. Ordinary revenues and expenses are derived from transactions or events that are within the normal course of business or that are inherent in the entity's activities, whether frequent or not; revenues and expenses classified as not ordinary refer to unusual transactions and events, whether frequent or not.
- NIF B-1 establishes that changes in particular standards, reclassifications and correction of errors must be recognized retroactively. Consequently, basic financial statements presented on a comparative basis with the current year that might be affected by the change, must be adjusted as of the beginning of the earliest period presented.

The Company does not expect significant effects in its financial statements upon the adoption of these new standards.



OUR MISSION

Produce and market food products, develop the value of our brands.
Committing ourselves to be a Company:

- *Highly productive and people oriented.*
- *Innovative, competitive and strongly focused towards satisfying our customers and consumers.*
- *International leader in the bakery industry, with long-term vision.*

• Ticker Symbol

COTIZA EN BOLSA MEXICANA DE VALORES
BIMBO

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